UNDP REGIONAL BUREAU FOR AFRICA

Making Sense of Sovereign Credit Ratings:

A Practical Handbook for African Policymakers

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Foreword

At UNDP, we believe that strengthening African voices in global financial conversations is not a courtesy — it is a necessity. Sovereign credit ratings shape the cost of capital, investor confidence, and the fiscal space governments need in order to advance development priorities. For African countries pursuing the Sustainable Development Goals and Agenda 2063, how ratings are produced, interpreted, and engaged carries direct consequences for human development.

Our 2025 report, Sovereign Credit Ratings: Perspectives for Africa's Development, examined why these ratings matter for Africa, how methodologies and global financial structures shape outcomes, and what fairer assessment of African sovereign risk could look like. The response from African policymakers has been clear: they want practical guidance on what to do — today, in real engagement, with real rating agencies. Demand for technical advice, capacity building, and peer learning across finance ministries, central banks, and debt management offices has been substantial and sustained.

This handbook responds to that demand. Where the 2025 report offered perspective, this handbook offers practice. It draws together insights from a series of policy papers commissioned under the Africa Credit Ratings Initiative (ACRI) — a UNDP flagship initiative supporting African governments to engage the sovereign rating system on more informed and confident terms — prepared by some of the most experienced sovereign rating practitioners and analysts, and distills them into operational guidance for African governments. It explains how the rating process works, examines what methodologies actually evaluate, clarifies the relationship between ratings and borrowing costs, and offers concrete tips for engagement at every stage of the rating cycle. Importantly, the handbook supports both navigating the current system effectively and contributing to its longer-term evolution — complementary priorities operating on different timescales.

The stakes are high, and the moment is urgent. Africa's financing landscape is shifting rapidly. Bond financing has grown from around five percent of the continent's external public debt at the turn of the millennium to more than a quarter today. The number of African sovereigns with ratings has risen from six to thirty-five in the same period. With this growth has come greater opportunity — and greater exposure to how ratings are perceived, priced, and acted upon by global investors.

Yet the trajectory is full of promise. African governments are reforming institutions, strengthening fiscal frameworks, and building the capacity to engage rating agencies on more confident terms. This handbook reflects UNDP's commitment to ensuring that African policymakers have the tools, the analysis, and the peer connections they need — and that the global ratings system increasingly reflects the resilience, ambition, and progress that define the continent's development journey. To African policymakers and the partners who support them: this handbook is for you. Use it. Build on it. And let us continue working toward a financial future where every African country has a fair chance to rise, invest, and prosper.



Ahunna Eziakonwa

UN Assistant Secretary-General,
UNDP Assistant Administrator and Regional Director for Africa

Executive Summary



Sovereign credit ratings now play a central role in how African countries access and manage external financing.

Figure 1: Africa's Growing Exposure to Market-Based Financing

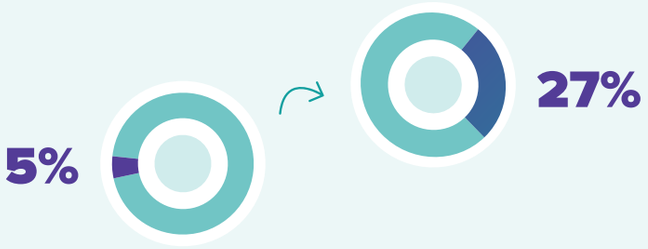
6 countries

held sovereign credit ratings in 2000

35 countries

hold sovereign credit ratings in 2026

From 2000–2026, the share of bonds in Africa's public and publicly guaranteed external debt rose from roughly:



as market-based financing expanded alongside traditional concessional borrowing.

Sources: World Bank International Debt Statistics; Country Economy; Trading Economics

In 2000, only six African countries held sovereign credit ratings; by 2026, that number had risen to 35. Over the same period, the share of bonds in Africa's public and publicly guaranteed external debt rose from roughly 5 percent to more than 27 percent, as market-based financing expanded alongside traditional concessional borrowing. For African policymakers, understanding how ratings operate, and how to engage the institutions that produce them, has become a practical governance priority with direct consequences for fiscal space, development outcomes, and the broader financing architecture within which sovereign resource mobilization takes place.

This handbook provides that understanding →

The system within which African sovereigns are assessed remains contested — including on bias, methodology, and representation — and this handbook acknowledges those debates while focusing on what is actionable for African policymakers today. Across eight chapters, it offers African policymakers a set of analytical tools for engaging sovereign credit ratings realistically:

- Tools for understanding how the ratings process works
- How methodologies apply structured judgment
- How ratings translate into borrowing costs through specific channels
- How the broader ratings ecosystem is evolving

The purpose is practical — to help African governments navigate the ratings system as it exists, while contributing to its long-term evolution.

Two priorities on different timescales

The handbook is structured around a dual orientation

Immediate priority

The immediate priority is strengthening engagement with the existing ratings system through the analytical, institutional, and communication capacities the handbook develops. This is the tractable, near-term work that shapes how African sovereigns are assessed in current and upcoming rating cycles.

Longer-horizon priority

The longer-horizon priority is contributing to the gradual evolution of the ratings ecosystem — through dialogue on methodology, regional rating capacity development, and sustained participation in international financial architecture conversations. In parallel, continued efforts to strengthen the voice of African countries in these reforms remain essential to ensuring more transparent, representative, and development-oriented sovereign risk assessments.

These priorities are complementary and operate on different timescales; neither substitutes for the other.

Central analytical claims

Acting effectively on both priorities starts from understanding how the sovereign credit ratings system actually works. The handbook's guidance rests on six analytical claims, each describing a feature of the system that policymakers frequently misread — and that, correctly understood, points toward more effective engagement:

Effective engagement with credit rating agencies is a governance function, not an episodic technical exercise. Treating it as continuous governance work — owned across government rather than within the finance ministry alone, with protected capacity and sustained attention — produces substantially better outcomes than reactive engagement driven by scheduled reviews or borrowing operations.

CHAPTERS 1–2

Rating agencies are not in a negotiating relationship with governments. Committees operate independently, and engagement that attempts to influence outcomes directly tends to backfire. What engagement does accomplish is shaping the information environment in which analysts interpret sovereign risk — reducing the information gap that drives uncertainty in how fundamentals are assessed.

CHAPTERS 3–5

Preparation is a forward-looking discipline that is distinct from standard government reporting. Most government reporting infrastructure is backward-looking; rating methodologies are forward-looking. Effective preparation addresses this gap through methodology literacy, living analytical materials, narrative coherence, and continuous readiness — not through intensified effort around scheduled reviews.

CHAPTER 4

The ratings-borrowing costs relationship is regime-sensitive, not mechanical. Ratings influence borrowing costs through specific channels — investor perceptions, mandate-driven capital (funds whose investment rules are tied to rating thresholds), analytical signaling — with the strength of these channels varying by market condition, rating category, and country-specific dynamics. Engagement with rating agencies can shape borrowing conditions, but its effect is bounded and operates alongside other levers including direct market communication, commodity risk management, and data infrastructure.

CHAPTER 7

Rating methodologies are neither formula nor guesswork. They are structured frameworks that apply analytical judgment under uncertainty — combining quantitative indicators, qualitative assessments, and forward-looking interpretation. Understanding what methodology can and cannot do is essential for engaging it productively rather than as a mechanical scoring exercise or as an opaque black box.

CHAPTER 6

The African rating institutional landscape is varied, with established institutions like Global Credit Rating Company GCR), Bloomfield, and West Africa Rating Agency (WARA), offering lessons alongside continental-scale initiatives — most prominently the Africa Credit Rating Agency (AfCRA). Approved by African Heads of State as a pillar of the African Union agenda, AfCRA is envisioned as a complementary institution that broadens analytical perspectives within the global ratings ecosystem. The central challenge for any new rating institution is not methodology but credibility within the regulatory, investor, and institutional frameworks that determine which ratings get used in practice.

CHAPTER 8

These claims describe how the system works. The operational priorities they imply — the actions that follow from understanding the system this way — are summarized below.

Key operational takeaways

Where the six claims above describe how the ratings system works, the eight priorities below translate them into practice:



Establish clear institutional ownership of the ratings relationship. Protect dedicated capacity, and sustain engagement continuously across scheduled and event-driven reviews.



Prepare for the forward-looking questions rating methodology asks. Effective preparation goes beyond quantitative performance to include narrative coherence, institutional resilience evidence, and policy durability framing — the dimensions that most commonly limit engagement when absent.



Read the rating methodology carefully and stay aware of updates. Methodologies specify what analysts weigh, and they update periodically and change over time. Use methodology documents as the organizing framework for preparation; track methodology updates as they are published.



Concentrate engagement effort at the analyst stage, not the committee stage. By the time a ratings committee convenes, the analytical substance has largely been determined. Analyst-level engagement — where interpretation is actively shaped — is where government influence is greatest.



Respond substantively, not defensively, to unexpected rating outcomes. Public disputes over methodology and defensive official statements tend to compound the original problem. Substantive engagement with the reasoning preserves credibility and relationship capital across rating cycles.



Interpret borrowing costs through specific channels, not as direct outputs of rating actions. The same rating action can produce very different market responses depending on market regime, rating category, and country-specific conditions.



Invest in domestic analytical capacity and data infrastructure. These investments improve engagement across every dimension — with rating agencies, with investors, with international financial institutions — and their value is independent of how the external ratings ecosystem evolves.



Engage the ratings ecosystem on two timescales simultaneously. The immediate work is navigating the current system effectively; the longer-horizon work is contributing to its evolution. Both matter; neither substitutes for the other.

For African policymakers deepening engagement with international capital markets, a more analytically grounded approach to sovereign credit ratings is essential for managing sovereign risk and supporting sustainable development finance. This summary sets out the what and the why; the chapters that follow provide the how — concrete, stage-by-stage guidance for putting these priorities into practice. Pursued together and sustained over time, this work builds the analytical capacity, institutional coordination, and engagement discipline that strengthen African participation in sovereign credit ratings — and, through that, in international capital markets.

Glossary of Key Terms in Sovereign Credit Ratings

This glossary provides concise definitions of key terms used throughout the handbook to support a shared understanding of sovereign credit ratings and related financial concepts.

Affirmation: A confirmation by a credit rating agency that the current credit rating remains appropriate after review.

Africa Premium (or Perception Premium): The higher borrowing costs African sovereigns pay relative to similarly-rated peers in other regions. Research suggests this premium is driven substantially by structural factors — including budget transparency, informal sector size, financial development, and institutional quality — rather than rating methodology alone.

Basis Point: A unit of measure equal to one hundredth of one percentage point (0.01%). Commonly used to express small changes in interest rates or yields. A 100 basis-point difference equals 1 percentage point.

Bilateral Financing: Development assistance provided directly from one country to another. This support may include grants, concessional loans, or technical assistance delivered through official development agencies.

Bond Yield: The return investors receive for holding a government bond. Yields move up or down depending on investor demand and perceptions of sovereign risk.

Capital Market Financing: Financing raised through financial markets by issuing debt securities such as bonds to private investors. Governments and corporations access capital markets to obtain funding at market-based interest rates.

Concessional Financing: Loans or grants provided on terms more favorable than market-based financing. These may include lower interest rates, longer repayment periods, and grace periods before repayment begins.

Credit Assessment: The evaluation of an entity's financial strength, risk profile, and capacity to meet its debt obligations.

Credit Rating: A forward-looking opinion issued by a credit rating agency regarding the ability and willingness of a borrower to meet its financial obligations in full and on time. Ratings combine quantitative indicators with qualitative assessments and analytical judgment.

Credit Rating Agency (CRA): An institution that assesses the credit risk of borrowers—including sovereign governments—and assigns credit ratings based on analytical methodologies.

Credit Spread: The difference between the yield on a sovereign bond and the yield on a benchmark bond (often U.S. Treasury securities). Credit spreads reflect perceived credit risk.

Debt Service: Payments made by a borrower to cover both interest and principal on outstanding debt.

Debt Sustainability: The ability of a government to meet its current and future debt obligations without requiring exceptional financing, debt restructuring, or policies that undermine economic stability.

Default: Failure of a borrower to meet scheduled principal or interest payments of the agreed terms.

Downgrade: A reduction in a credit rating indicating an increase in perceived credit risk.

Economic Fundamentals: Core macroeconomic indicators—such as economic growth, fiscal balances, debt levels, and external accounts—that influence sovereign credit risk.

Eurobonds: International bonds issued in a currency different from the issuer's domestic currency and sold to investors in global capital markets.

Event-Driven Review: A rating review triggered by a significant development — such as a major policy announcement, economic shock, or debt event — rather than by a scheduled review cycle. Committees may convene outside regular review schedules when material developments warrant reassessment.

Expectation Gap: The divergence between a government's expectations about rating outcomes (often based on recent performance or reforms) and the conclusions rating committees actually reach (based on forward-looking assessment of durability and resilience).

External Debt: Debt owed by a government to foreign creditors, including international investors, banks, or multilateral institutions.

Fiscal Balance: The difference between government revenues and expenditures during a given period.

Forward-Looking Assessment: The analytical approach used by rating methodologies to evaluate not only current economic indicators but also policy trajectories, institutional resilience, and vulnerability to future risks.

Institutional Credibility: The degree to which government institutions are perceived as reliable, transparent, and capable of implementing economic policies effectively.

Issuer: A government, corporation, financial institution, or other entity that raises funds by issuing debt securities or borrowing money.

Inter-Agency Credit Ratings Coordination Mechanism/Committee: A government coordination structure that brings together institutions responsible for fiscal policy, debt management, economic analysis, and statistics to coordinate engagement with credit rating agencies.

Investment Grade: Credit ratings indicating relatively low credit risk and strong capacity to meet financial commitments.

Investor Expectations: The views and assumptions held by investors about a country's future economic performance, policy direction, and credit risk. Investor expectations influence how financial markets price sovereign debt.

Lead Analyst: The analyst responsible for conducting the primary credit analysis of an issuer and presenting the analysis to the rating committee.

Liability Management Operation: A transaction through which a sovereign restructures its outstanding debt — for example, issuing new bonds to refinance existing debt, extend maturities, or adjust currency composition.

Market Prices: The prices at which government securities trade in financial markets, typically reflected in bond yields and spreads.

Macroeconomic Stability: A condition in which an economy maintains sustainable growth, stable inflation, manageable public debt levels, and balanced external accounts. Macroeconomic stability supports investor confidence and reduces sovereign credit risk.

Mandate-driven Capital: Investment funds whose rules tie holdings to rating thresholds, so a rating change can force buying or selling regardless of the investor's own view.

Multilateral Financing: Financial support provided by international financial institutions that pool resources from multiple member countries. These institutions provide loans, grants, and technical assistance to promote economic development.

NRSRO (Nationally Recognized Statistical Rating Organization): A credit rating agency registered with the U.S. Securities and Exchange Commission whose ratings are recognized for use in U.S. regulatory frameworks. Parallel frameworks exist in other jurisdictions.

Policy Credibility: The extent to which investors and analysts believe that a government will implement and sustain its stated economic policies over time.

Rating Action: A formal decision by a credit rating agency regarding a credit rating, including the assignment of a new rating, an upgrade, downgrade, affirmation, or withdrawal.

Rating Committee: A decision-making body within a credit rating agency that reviews credit analysis and determines the final credit rating.

Rating Methodology: The analytical framework used by credit rating agencies to evaluate sovereign credit risk. Methodologies integrate quantitative indicators, qualitative assessments, and forward-looking analytical judgment under uncertainty.

Rating Outlook: An indication of the potential direction of a credit rating over the medium term, typically categorized as positive, stable, or negative.

Rating Report: A publication issued by a credit rating agency explaining the rationale behind a rating decision, including the key factors influencing the assessment.

Rating Scale: The classification system used by credit rating agencies to rank credit risk, typically ranging from the highest credit quality to default.

Rating Watch: A notification that a credit rating is under review and may be upgraded, downgraded, or affirmed in the near term due to specific developments.

Shadow Rating: An unofficial, unpublished estimate of a borrower's creditworthiness, prepared without a formal rating engagement; for unrated sovereigns, it indicates how a country might be assessed ahead of a first formal rating.

Speculative Grade (Non-Investment Grade): Credit ratings indicating higher credit risk and greater vulnerability to adverse economic or financial conditions.

Surveillance: The ongoing monitoring of a sovereign's economic, fiscal, and policy developments by credit rating agencies between formal rating reviews.

Sovereign Credit Rating: A credit rating assigned to a national government that evaluates its ability and willingness to meet its debt obligations in full and on time.

Sovereign Debt: Money borrowed by a national government through instruments such as bonds or loans.

Sovereign Risk: The risk that a government may fail to meet its financial obligations or that investors may experience losses due to political, economic, or institutional developments.

Upgrade: An improvement in a credit rating indicating a reduction in perceived credit risk.

Yield Spread: The difference between the yield on a sovereign bond and the yield on a benchmark bond. Sometimes used interchangeably with 'credit spread'.

Introduction

Sovereign credit ratings are an increasingly influential feature of Africa's evolving development financing landscape. As more African countries access international capital markets, borrowing decisions are closely linked to fiscal space, debt sustainability, and long-term development priorities. In this context, understanding how sovereign credit ratings operate — and how they interact with financial markets — has become a practical policy priority.

This handbook builds on the UNDP's 2025 report, *Sovereign Credit Ratings: Perspectives for Africa's Development*, which provides a comprehensive overview of how credit rating systems function and the structural challenges African countries face within the global financial architecture. Where the 2025 report focuses on descriptive and framing analysis, this handbook focuses on operational guidance. It explains how African policymakers can engage more effectively with credit rating agencies, interpret ratings outcomes, and strengthen the policy and institutional factors that shape how sovereign risk is assessed.

The handbook is organized around a dual orientation that has shaped the UNDP Africa Credit Ratings Initiative (ACRI) throughout. The immediate priority is practical navigation of the current ratings system — building the institutional coordination, methodology literacy, preparation discipline, and communication capacity that help African sovereigns engage effectively with existing rating agencies. The longer-horizon priority is contributing to the ratings ecosystem's gradual evolution — through methodology dialogue, regional rating capacity development, and sustained participation in international conversations about how sovereign risk is assessed. These priorities are complementary, and they operate on different timescales. Neither substitutes for the other.

The handbook acknowledges ongoing debates about ratings methodologies — including concerns about bias, subjectivity, and methodological limitations. These concerns are legitimate and are engaged directly in Chapter 1 and throughout the handbook. The handbook's primary focus, however, is practical: helping governments operate effectively within the current system while contributing to its long-term improvement.

The Role of the Africa Credit Ratings Initiative

This handbook is a product of the UNDP Africa Credit Ratings Initiative (ACRI), which supports African countries through three complementary pillars:



Technical advice on ratings engagement, methodology, and market dynamics



Capacity building for finance ministries, central banks, and debt management offices



A community of practice connecting policymakers across African governments

The analysis in this handbook draws on a series of working papers commissioned under the ACRI, prepared by leading experts in sovereign credit ratings, debt management, and African political economy. These papers examine key dimensions of the ratings ecosystem — methodologies, market dynamics, institutional coordination, post-default recovery, and proposals for regional credit rating institutions — and their most actionable insights have been distilled into this concise guide for policymakers and practitioners. The full working papers are on the Africa Credit Ratings Resource Platform.

How to Use This Handbook

This handbook is designed primarily for African policymakers — officials in ministries of finance, central banks, debt management offices, and related institutions involved in

sovereign risk management and engagement with rating agencies. It is intended to be practical and accessible: each chapter can be read as a standalone guide on its specific subject, but the chapters also build on each other cumulatively, with a consistent analytical framework across all eight. Readers seeking deeper technical analysis will find supporting material in the underlying ACRI policy papers.

The handbook is most directly useful for policymakers who are new to ratings engagement or seeking to systematize existing practice — those building or strengthening the institutional foundations for how their government relates to rating agencies. Officials with substantial ratings experience will find the analytical framework in Chapters 1, 6, and 7 most useful for sharpening how they interpret methodology and market dynamics, and the practical guidance in Chapters 2 through 5 most useful as a reference for strengthening specific dimensions of engagement. Chapter 8 and the Closing Perspective are relevant to all readers, addressing the evolution of the ratings ecosystem and the longer-horizon questions of regional rating capacity and methodology reform that experienced officials are already navigating. The handbook does not assume familiarity with rating methodologies or capital market mechanics — but it does assume that readers bring substantive knowledge of their own country's economic and fiscal environment, and that they will apply that knowledge when working through the analytical framework offered here.

A further distinction concerns how close a country is to a sovereign rating. Some African countries are long-established issuers in international markets; others are early in that process; and many are not yet rated and may not seek a sovereign rating in the near term. The handbook speaks most directly to countries that are already rated or actively preparing for one, but much of its guidance applies equally as preparation — building the institutional coordination, data infrastructure, and analytical capacity any future rating process will require. For countries further from that point, tools such as shadow ratings and engagement with domestic and regional rating institutions in corporate and sub-sovereign markets offer a way to build familiarity with how ratings work well before a first sovereign rating is in view.

Overview of the Handbook

Chapter 1 explains why sovereign credit ratings matter for African policymakers, clarifies common misunderstandings, and engages directly with why ratings remain contested.

Chapter 2 examines how governments can establish institutional ownership and coordination mechanisms for ratings engagement.

Chapter 3 explains how the sovereign credit ratings process works — including how it differs from more familiar processes like IMF Article IV consultations.

Chapter 4 examines how governments can prepare effectively for ratings engagement as a forward-looking discipline.

Chapter 5 examines how governments can navigate ratings engagement during and after reviews, when the process plays out under public scrutiny.

Chapter 6 explains how rating methodologies integrate quantitative indicators, qualitative assessments, and analytical judgment — and how this operates in African contexts.

Chapter 7 examines the relationship between credit ratings and borrowing costs, and what engagement can realistically achieve for sovereign borrowing conditions.

Chapter 8 examines the prospects and limits of African credit rating institutions, and how the broader ratings ecosystem is evolving.

Together, these chapters provide practical guidance for African policymakers seeking to strengthen engagement with sovereign credit rating systems while contributing to the long-term evolution of how sovereign risk is assessed.

Chapter 1

Why Sovereign Credit Ratings Matter for African Policymakers

Chapter 1 at a Glance



Core message

Sovereign credit ratings are forward-looking judgments about long-term credit risk — not scorecards of recent performance. Understanding how ratings, economic fundamentals, and market prices interact is the foundation for effective engagement throughout this handbook.

Key takeaways



Distinguish fundamentals, ratings, and market prices before diagnosing any rating action or market movement.



Calibrate expectations to how rating methodologies behave: meaningful improvement is usually a multi-year outcome, not a near-term response to reform announcements.



Focus engagement on what can be influenced — data quality, policy predictability, institutional credibility, communication discipline, and repayment track record.



What to avoid: Do not treat a rating action as a direct verdict on recent economic performance, or expect borrowing costs to move mechanically in response to rating changes.

For African policymakers, sovereign credit ratings are now a central factor shaping access to international capital and the cost of financing. As more African countries access international capital markets, borrowing decisions increasingly affect fiscal space, debt sustainability, and development priorities.

Yet sovereign credit ratings are widely misunderstood →

They are often interpreted as simple technical scores that move automatically with economic indicators. In practice, ratings operate within a broader system shaped by markets, institutions, and expectations — and that system behaves in ways that do not always match policymakers' intuitions.

For African governments navigating an increasingly complex financing landscape—one that blends concessional borrowing, Eurobond issuance, and bilateral financing—understanding how this system works has become a practical governance priority.

Approaching ratings engagement as a governance function also means understanding fiscal risk from the government's own perspective, not only as rating agencies frame it. Agencies assess risk largely in terms of ability to pay under stress; for a government, the more fundamental question is what scenarios it has prepared to keep public institutions functioning when those stresses materialize. Well-developed fiscal risk profiling — anticipatory rather than reactive, and concerned with the continuity of government functions rather than debt service alone — strengthens both national governance and the case a government can make to analysts. This distinction matters in practice. Many governments treat an unbroken record of debt repayment as sufficient evidence of reliability, but that record can prove fragile: if debts are serviced while salaries or essential services go unpaid, the

Why Sovereign Credit Ratings Are Contested

Sovereign credit ratings are widely used, but they are also frequently debated—particularly in the African context. These debates often center on three interrelated issues:



Bias and the "Africa premium." African sovereigns often pay higher borrowing costs than similarly rated peers in other regions. Research by the IMF and others suggests that a significant portion of this premium reflects structural factors — data gaps, limited budget transparency, the size of the informal economy, and institutional characteristics — rather than systematic bias in rating methodologies alone. Rating agencies maintain that they apply consistent criteria globally. Critics argue that the criteria themselves embed assumptions that disadvantage African economies. Both views capture part of the picture. What is clearer is that the "Africa premium" is real and conditional: it is most pronounced below investment grade and in periods of stress, and it is shaped by a combination of rating-related and market-related factors that operate through distinct channels (Gbohoui et al. 2023, Dalrymple 2026, ACRI working paper). Crucially, the structural drivers of the premium — data gaps, budget transparency, financial market depth — are not fixed. They are precisely the areas where sustained policy effort, improved disclosure, and stronger data infrastructure can, over time, narrow the gap. The premium is a description of current conditions, not a permanent feature to be accepted.



Subjectivity and judgment. Rating methodologies combine quantitative indicators with qualitative judgments about policy credibility, institutional stability, and forward-looking risk. Where data is limited or policy frameworks are evolving, judgment plays a larger role. This is an inherent feature of sovereign risk assessment — not a flaw — but it means that how a country presents itself, communicates its reforms, and engages with analysts can genuinely shape how its fundamentals are interpreted by the analysts and committees that produce the assessment.



Ratings and market pricing. Ratings are often assumed to directly drive borrowing costs. In practice, financial markets price risk continuously, often moving ahead of formal rating actions. Ratings can reinforce or amplify market trends — particularly during periods of stress or when rating thresholds affect investor mandates — but they rarely originate them. Countries with similar ratings can face significantly different borrowing costs depending on investor composition, market depth, and country-specific dynamics.

For policymakers, these debates matter less as abstract questions than as practical ones. Understanding where concerns about the system are grounded — and where they are less well supported by evidence — helps governments focus their engagement on what they can actually influence, rather than on aspects of the system that are structural or outside their direct control.

Sources: Gbohoui, William, Rasmané Ouedraogo, and Yirbehogre Modeste Some. 2023. "Sub-Saharan Africa's Risk Perception Premium: In the Search of Missing Factors." IMF Working Paper No. 2023/130. International Monetary Fund, June 23. https://www.imf.org/en/publications/wp/issues/2023/06/23/sub-saharan-africas-risk-perception-premium-in-the-search-of-missing-factors-534885

narrative of stability and dependability is quickly undermined. A government that can demonstrate how it protects core functions under pressure engages rating agencies from a position of greater strength.

The handbook takes this practical orientation as its starting point. While broader debates about methodological reform, regional rating capacity, and the evolution of global financial architecture should continue, the immediate priority for most African policymakers is to navigate the current system more effectively. That means understanding how ratings are produced, how they interact with markets, and how governments can engage credibly with the agencies that assess them.



I WHAT IS THE **PROBLEM?**

Engagement with credit rating agencies can carry expectations the system is not designed to meet.

The most common expectation is that credible reform, pursued consistently, should translate into rating improvements on a reasonably predictable timeline →

When it does not, governments sometimes conclude that their reforms are being overlooked, that the methodology is unfair, or that engagement itself is not worth the investment. These conclusions are understandable—but they do not point toward more effective engagement.

These expectations often reflect mismatches between how sovereign credit ratings function in practice and the intuitions that policymakers reasonably bring from other policy domains. The mismatch reflects how rating methodologies evaluate time and evidence. Credit ratings are forward-looking opinions of long-term credit risk, not scorecards of recent performance. They combine quantitative indicators, qualitative assessments, and institutional judgment in evaluating sovereign risk. Rating committees place significant weight on sustained track record—evidence that a country's fiscal discipline, policy credibility, and institutional frameworks hold up across economic cycles, political transitions, and external shocks.

A single strong year, or even several, rarely supplies that evidence on its own. This is not because analysts fail to recognize improvement; it is because the methodology is designed to distinguish temporary gains from durable change. For sovereigns, this dynamic is often most visible on the way up, where rating upgrades occur gradually, even when fundamentals are improving consistently (Cash 2026, AfriCatalyst; N'Sondé 2026, ACRI working paper).

Country experiences such as Rwanda illustrate this dynamic. Sustained reform and strong economic performance do not always translate into immediate rating changes. This reflects the methodology's emphasis on demonstrated resilience over time, rather than short-term improvements in economic indicators. For policymakers, the key implication is that rating upgrades are typically gradual, reflecting the accumulation of credibility across multiple economic and policy cycles rather than a near-term response to reform efforts.

A related misunderstanding concerns the relationship between credit ratings and borrowing costs →

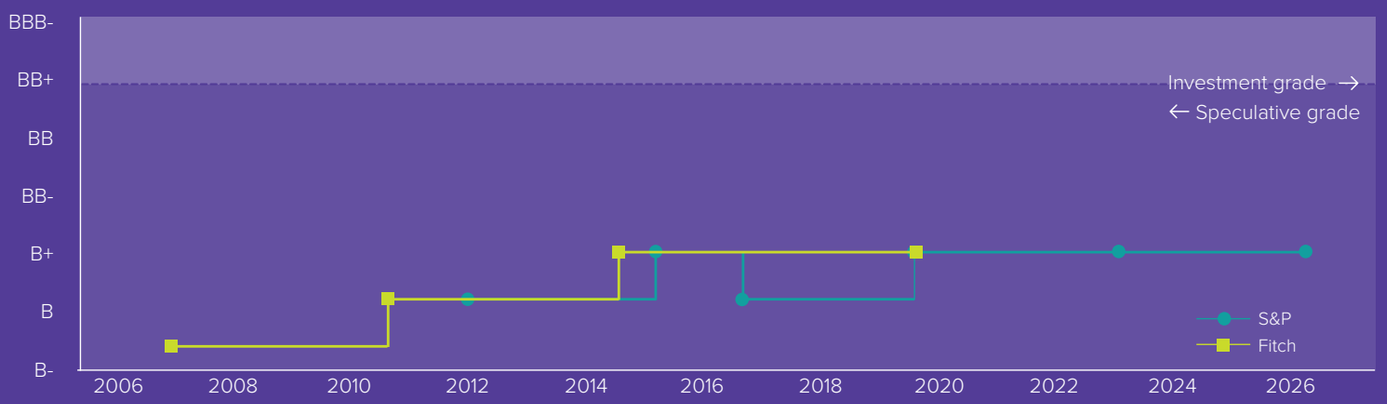
The two are sometimes treated as tightly coupled, with rating changes expected to produce roughly proportional changes in yields. In practice, financial markets price sovereign risk continuously, drawing on a wide range of information that includes—but extends well beyond—rating actions.

Bond yields often move ahead of formal rating changes, and can diverge from them in either direction depending on investor expectations, global financial conditions, and country-specific risks (Dalrymple 2026, ACRI working paper;

Rwanda – Reform Progress and Ratings Stability

Rwanda provides a clear illustration of how sovereign credit rating methodologies assess sustained performance over time rather than short-term improvements.

Rwanda's Sovereign Credit Ratings, 2006-2026



Since receiving its first sovereign credit rating in the early 2010s, Rwanda has maintained a strong reform trajectory, including sustained GDP growth averaging above 7 percent, improvements in institutional performance, and relatively disciplined debt management. Despite this progress, Rwanda's sovereign rating has remained within the speculative-grade (single-B) category. This reflects the emphasis placed by rating agencies on demonstrated resilience across economic cycles, policy continuity, and exposure to external risks, rather than improvements observed over a shorter time horizon.

Sources: S&P Global Ratings and Fitch Ratings, sovereign rating actions for Rwanda; compiled from countryeconomy.com (accessed April 2026).

de Saint-Marcq 2026, ACRI working paper). Countries with the same headline rating can therefore face meaningfully different borrowing costs, sometimes by hundreds of basis points. As illustrated in the infographic, The Cost of Inefficient Financing: What is Being Lost, differences in borrowing costs are not abstract — they translate into substantial opportunity costs with direct development consequences. For Angola, Benin, and Côte d'Ivoire, recent bond issuances between 2023 and 2026 totaled $12.6 billion issued against $10.5 billion in interest — meaning 45 percent of total repayments are interest. Borrowing costs for these sovereigns ran 0.4 to 1.2 percentage points above peers with comparable credit ratings.

The development cost of that gap is concrete: $128 million in excess financing costs per year, and $1.21 billion over the life of the bonds. Redirected, those resources could fund 11,350 teachers in a single year, support 500,000+ students, and provide 5 million people with access to electricity. Inefficient financing reduces fiscal space and limits development outcomes — not as an abstraction, but as a measurable constraint on what governments can deliver.

The same logic operates in reverse. When ratings more accurately reflect a sovereign's underlying creditworthiness, borrowing costs compress and the resources released can be redirected toward development priorities →

A sovereign that closes a 100-basis-point gap on a $1 billion ten-year Eurobond recovers roughly $100 million over the

life of the instrument. Across a portfolio of debt issuances, the cumulative development gain from more accurate risk assessment can be substantial. Stronger ratings can reduce refinancing costs, improve access to longer maturities, widen the eligible investor base, and support more favorable terms from development finance institutions and blended finance facilities. The objective of effective ratings engagement is not a better number — it is the fiscal space and financing options that a more accurate assessment unlocks.

The Cost of Inefficient Financing: What is Being Lost?

Angola, Benin, and Côte d'Ivoire pay higher borrowing costs than peers with similar credit ratings, with real consequences for development.

Recent bond issuances

Angola, Benin, and Côte d'Ivoire (2023–2026)



45% of total repayments are **interest**

- **Borrowing costs are higher than comparable countries.**
- **0.4 to 1.2% more than peers with similar credit ratings.**

This gap translates into higher costs

These are not just financial losses. They directly affect people's lives.

What could be achieved?

$128 million

extra per year

11,350

teachers hired in one year

500,000+

students supported

$1.21 billion

over life of the bonds

5 million

people gain access to electricity

6-10%

increase in electricity access

Inefficient financing reduces fiscal space and limits development outcomes.

Sources: African debt database, https://africandebtdatabase.com/, Teacher Pay in Africa, Evidence from 15 Countries, David K. Evans, Fei Yuan, Deon Filmer (World Bank, 2020); World Bank, World Development Indicators; Solar Mini Grids Could Sustainably Power 380 million People in Africa by 2030 – If Action Is Taken Now.

For African countries, these costs extend beyond financing conditions →

Elevated borrowing costs constrain investment in infrastructure, industrialization, climate resilience, and human capital — and, with them, progress toward the continent's long-term development goals under Agenda 2063. These dynamics are visible at the regional level. Across the three major rating agencies, African sovereigns are concentrated in lower rating categories than sovereigns in other regions, and African economies carry among the highest average country and equity risk premia globally (Damodaran 2025, NYU Stern). Part of this gap reflects genuine differences in fundamentals, but part reflects the structural and informational factors discussed throughout this chapter — and the structural components, at least, are addressable over time through stronger data, greater transparency, and sustained engagement.

In this way, credit ratings and broader market perceptions of risk indirectly shape development outcomes by influencing both the cost and availability of financing. Sovereign credit ratings engagement also does not operate in isolation. For African governments, it sits alongside — and increasingly within — broader financing strategies, including Integrated National Financing Frameworks (INFFs), domestic resource mobilization (DRM) strategies, and investment promotion initiatives. A stronger rating increases the financing options available within an INFF. A well-structured DRM strategy that broadens the revenue base addresses the fiscal dimensions rating methodologies weigh directly. Investment promotion that attracts foreign direct investment generates the external account dynamics ratings treat as indicators of resilience. Getting ratings engagement right opens doors across the full architecture of sovereign resource mobilization — from concessional and bilateral capital to blended finance facilities and direct investor relationships.

II WHAT IS THE **DEVELOPMENT CONTEXT?**

Africa's financing environment has shifted substantially over the past two decades. Where external financing was once dominated by concessional loans from bilateral and multilateral partners, market-based borrowing now plays a significant and growing role. The share of bonds in public and publicly guaranteed external debt across the continent has risen from roughly 5 percent in 2000 to more than 27 percent in 2024. For sovereigns active in Eurobond markets, decisions about when to issue, at what maturity, and at what price are now central to fiscal management — and the perceptions that shape those decisions are formed in real time by global investors.

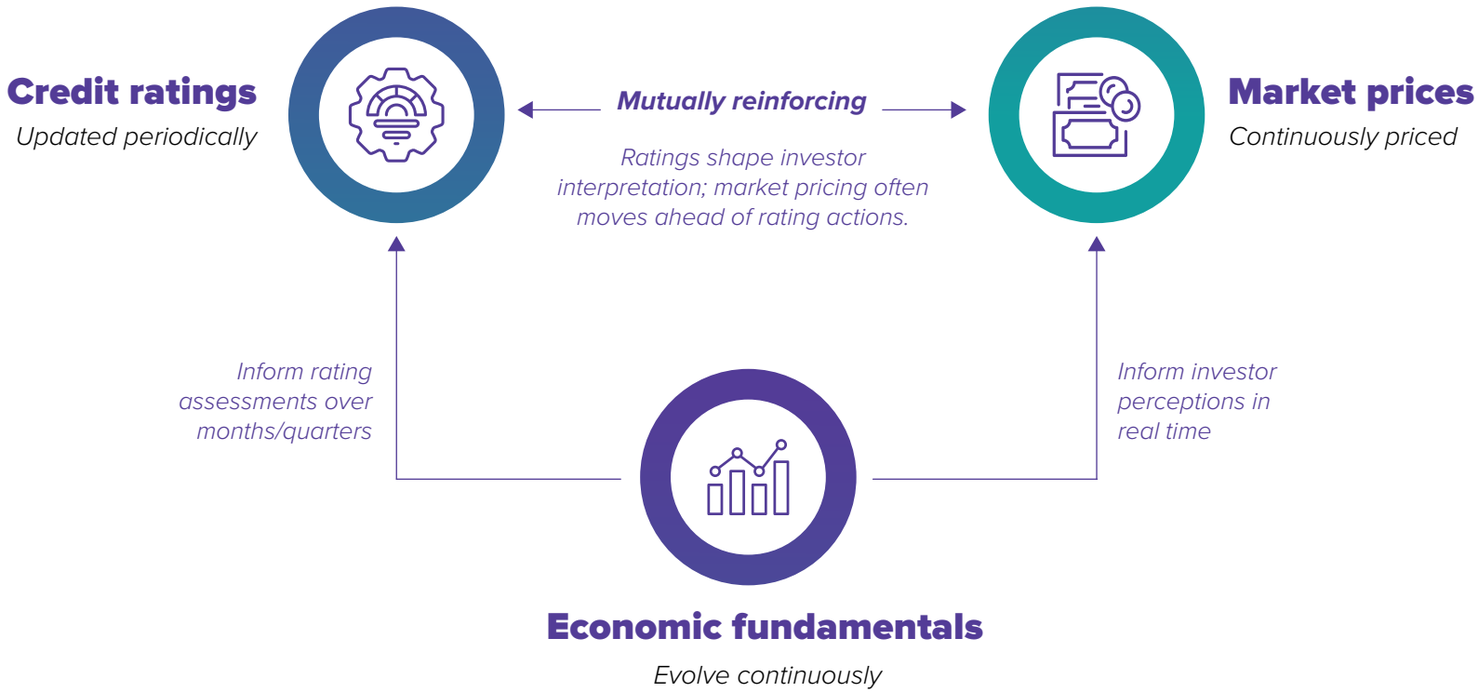
Within this environment, sovereign credit ratings operate as one signal among many. Understanding how ratings fit into the broader system requires distinguishing three elements that are often confused:

Economic fundamentals — the underlying indicators of fiscal, macroeconomic, and external performance, such as growth, debt levels, fiscal balances, and reserve adequacy.

Credit ratings — forward-looking opinions of long-term credit risk issued by rating agencies, updated periodically and governed by published methodologies.

Market prices — bond yields and spreads determined continuously by investors in response to evolving economic, financial, and geopolitical conditions.

Figure 2 Three Distinct but Connected Elements



Sovereign credit ratings operate alongside — not as substitutes for — economic fundamentals and market prices

These three elements are connected, but they do not move mechanically together. Fundamentals influence both ratings and market prices, but through different mechanisms and on different timelines. Ratings influence how investors interpret fundamentals, particularly where information is limited or difficult to compare across countries. Markets incorporate new information continuously, often moving ahead of formal rating actions rather than in response to them.

The practical consequence is that countries with similar ratings can face meaningfully different borrowing costs, and those differences often reveal as much about country-specific dynamics as about the ratings themselves →

Côte d'Ivoire offers an instructive example. Between 2020 and 2024, Côte d'Ivoire issued Eurobonds at spreads typically in the 300 to 500 basis point range, trading at times closer to lower investment-grade peers than to other African sovereigns at similar rating levels, despite carrying a BB/Ba speculative-grade rating. The difference was not driven by headline credit risk; the ratings were comparable. It reflected factors investors weigh alongside ratings: a long record of uninterrupted external debt service, a predictable macroeconomic and fiscal policy framework, and membership in the West African Economic and Monetary Union (WAEMU). WAEMU membership provides an external nominal anchor and reduces exchange-rate uncertainty. These institutional features compressed liquidity and uncertainty premia in ways that ratings alone could not capture (de Saint-Marcq 2026, ACRI working paper).

This example points to a broader pattern with direct operational implications. Elements of the ratings-and-markets system lie outside any individual government's control: global interest rates, investor risk appetite, benchmark index composition, and the behaviors of institutional investors operating under rating-based mandates all shape

borrowing conditions in ways that no single sovereign can change. But other elements are meaningfully within reach. Institutional credibility, policy predictability, quality of data and communication, and repayment track record all shape how investors and analysts interpret sovereign risk — and all can be strengthened over time through deliberate policy and engagement choices.

For African policymakers, recognizing this distinction is the starting point for effective engagement. The question is not whether the ratings system is perfect, nor whether every element of market pricing is fair. The question is where, within this system, policy and institutional effort can translate most directly into better outcomes.



III

PRACTICAL TIPS FOR AFRICAN POLICYMAKERS

Before considering how to organize, prepare, or engage — topics developed in later chapters — policymakers benefit from holding a clear mental model of how the ratings system actually works. Five framing points are particularly important:

1

Distinguish fundamentals, ratings, and market prices in your own analysis. These three elements are connected but not interchangeable. Treating a rating as a direct reading of fundamentals, or as the primary driver of borrowing costs, leads to misdiagnosis of what is actually happening in any given period. When interpreting a market movement, a rating action, or a divergence between them, the most productive first question is which of the three elements is moving and why.

2

Calibrate expectations to how methodologies operate in practice. Rating committees weight sustained track record heavily and update gradually — reflecting a methodology built to distinguish durable change from temporary improvement. Meaningful rating improvement is typically a multi-year outcome rather than a near-term response to reform announcements. Budgeting political capital and communications strategies around this timeline supports more effective engagement.

3

Situate ratings engagement within Africa's development context. Sovereign risk narratives are strengthened when they reflect the structural factors shaping long-term creditworthiness — regional integration through the African Continental Free Trade Area (AfCFTA), progress on industrialization and economic diversification, and the resilience these build over time. On systemic issues affecting how African sovereigns are assessed, continental and international engagement can complement country-level efforts to improve the transparency and consistency of risk assessment frameworks.

4

Treat the "Africa premium" as conditional, not uniform. The premium is most pronounced below investment grade and during periods of stress, and it reflects a combination of rating-related factors and market amplification channels that operate through distinct mechanisms. Identifying which channel is driving costs at any given moment is more analytically useful than treating the premium as a single, fixed disadvantage.

5

Focus engagement on what can actually be influenced. Some drivers of borrowing costs — global interest rates, investor risk appetite, benchmark index composition — lie outside any individual sovereign's direct control. Others — data quality, policy predictability, institutional credibility, communication discipline, repayment track record — are shaped directly by policy and institutional choices. Institutionalizing fiscal and budget risk scenario planning, in particular, strengthens both governance and the evidence a government can bring to engagement: it demonstrates that the government has anticipated stress events and prepared to maintain core functions through them. Effective engagement concentrates effort on the second category while navigating the first realistically.



IV ENGAGEMENT WITH CREDIT RATING AGENCIES

Given the framing developed in this chapter, what is engagement with credit rating agencies actually for? The answer is narrower than many governments assume, and more consequential than the skeptics suggest.

Engagement is not a negotiation →

Rating committees operate within methodology-based frameworks and make decisions independently of issuer preferences. Governments that approach engagement as a forum for contesting outcomes or lobbying for specific actions typically come away frustrated, and may damage the underlying analytical relationship in the process.

Engagement is also not a mechanism for reforming methodology →

Broader debates about how ratings methodologies evaluate African economies are legitimate and important, but they are pursued through other channels — policy dialogue, research, institutional reform processes, and initiatives like ACRI itself. The bilateral relationship between a sovereign and a rating agency is not where those debates are settled.

What engagement is for is more specific and more tractable →

Reducing the information gap that drives uncertainty in how sovereign risk is assessed. Where data is incomplete, reforms are evolving, or policy context is difficult to interpret from the outside, analysts must rely on judgment — and that judgment is shaped significantly by the quality, consistency, and credibility of information provided by the sovereign itself. Engagement is the sustained effort to ensure that analysts evaluating a country's risk have the best possible understanding of its fundamentals, its policy direction, and its institutional environment.

Framed this way, engagement becomes a governance function, not an episodic exercise. It is continuous rather than reactive, coordinated rather than fragmented, and oriented toward building credibility over time rather than influencing specific rating outcomes. Where this framing is internalized, engagement tends to be more effective — and, over time, assessments more accurate — than where engagement is approached as a contest to be won or a process to be endured.

The remaining chapters of this handbook develop what effective engagement looks like in practice: how to organize for it (Chapter 2), how to understand the process that engagement feeds into (Chapter 3), how to prepare (Chapter 4), how to navigate the engagement itself (Chapter 5), and how to understand the methodologies and market dynamics that shape how engagement is received (Chapters 6 and 7). Chapter 8 returns to the broader question of how the ratings ecosystem is evolving and what that means for the engagement framework described here.

Chapter 2
Ownership and Institutional Coordination in the Ratings Process

Chapter 2 at a Glance



Core message

Institutional coordination is not merely a precondition for effective engagement with rating agencies — it is itself a signal analysts read. Where ownership of the ratings relationship is clear and information flows are consistent, analysts can interpret a country's fundamentals with greater confidence. Where ownership is diffuse and communication fragmented, analysts operating under uncertainty tend to interpret conservatively.

Key takeaways



Designate one institution as formally responsible for the ratings relationship — a clear lead without a full coordination mechanism functions better than a full mechanism without clear ownership.



Build on existing workflows — IMF Article IV consultations, debt sustainability analyses, and Eurobond preparation are natural foundations for ratings coordination.



Document institutional knowledge systematically so that what individuals know becomes what the institution knows, reducing the cost of staff turnover.



What to avoid: Do not treat coordination as a precondition to be addressed once resources allow — fragmented engagement is itself read by analysts as a signal about institutional capacity, independent of underlying policy quality.

Chapter 1 established that effective engagement with credit rating agencies is a governance function, oriented toward reducing the information gap that shapes how sovereign risk is assessed. This chapter turns to the first operational question that follows from that framing: how governments organize themselves for engagement — and why that organization matters more than policymakers often assume.

Strong economic policies remain essential — they are the foundation on which any rating assessment is built. But the core claim of this chapter is more specific: institutional coordination is not merely a precondition for effective communication with rating agencies — it is itself a signal analysts read when evaluating sovereign risk. Where responsibility for ratings engagement is clearly owned, information flows are consistent, and policy messaging is aligned across ministries, analysts can interpret a country's fundamentals with greater confidence. Where ownership is diffuse and communication fragmented, the same underlying policies become harder to interpret — and analysts operating under uncertainty tend to interpret conservatively (Benard 2026, ACRI working paper).

This chapter examines what ownership and coordination look like in practice. Section I identifies the specific problems that emerge when ratings engagement is institutionally fragmented. Section II situates coordination within the broader African policy context, including capacity constraints and institutional realities that shape what is achievable. Section III offers practical steps for establishing clear ownership and effective coordination mechanisms. Section IV returns to the bilateral relationship with rating agencies, examining how coordination shapes the quality of that engagement over time.



WHAT IS THE **PROBLEM?**

In some countries, responsibility for sovereign credit ratings is fragmented across institutions. Different agencies produce key data. Different ministries manage fiscal policy, external borrowing, and macroeconomic forecasts. Yet no single institution may have clear responsibility for coordinating the overall relationship with credit rating agencies — and without that clarity, engagement tends to fall between institutional seams.

Fragmentation tends to produce three operational consequences that matter for how analysts interpret sovereign risk. When information is presented inconsistently or without clear ownership, analysts are left to reconstruct coherence from external sources — and under uncertainty, they tend to interpret conservatively (Benard 2026, ACRI working paper).

First, communication becomes inconsistent →

Different institutions may provide information separately or frame policy developments from different perspectives. When analysts receive fiscal data from one channel, debt statistics from another, and policy commentary from a third — each with subtly different framings — the task of building a coherent picture of the sovereign falls to the analyst rather than the government. This is not a problem of bad information; it is a problem of unintegrated information, and it produces exactly the uncertainty that drives conservative interpretation.

Second, preparation becomes reactive →

When no institution owns the relationship continuously, engagement activates only when external pressure requires it — typically a scheduled review or an upcoming borrowing operation. Under these compressed timelines, responses to analyst questions are rushed, supporting documentation is assembled in haste, and opportunities to explain policy developments fully are lost. The engagement pattern becomes one of intermittent intensity rather than sustained presence — a dynamic rating agency analysts have noted as itself shaping their assessments (Benard 2026, ACRI working paper).

Third, relationships and institutional memory erode through turnover →

Rating analysts build understanding of a country's economic trajectory, policy environment, and institutional dynamics over years of engagement. When government interlocutors rotate through the role without formal handover — or when engagement is managed by whoever is available rather than whoever holds the position — analytical context does not accumulate. Each engagement begins partway from zero, and previous discussions, commitments, and clarifications have to be relitigated.

These problems are most visible at moments of financing pressure. When engagement begins shortly before a planned Eurobond issuance or in the run-up to a scheduled review, there is rarely time to coordinate internally, align messaging, or address analyst questions comprehensively. Governments in this position often feel they are explaining themselves under pressure rather than from strength — and analysts often report precisely that impression.

The underlying issue is rarely a lack of technical capacity. It is a gap in institutional ownership →

When no entity holds clear responsibility for the ratings relationship as an ongoing function, the individual pieces of good work — solid fiscal data, credible reforms, coherent macroeconomic policy — do not translate into the coherent picture of the sovereign that rating analysts need to interpret fundamentals accurately.

Ownership of the ratings narrative also extends beyond the finance ministry itself. The most durable engagement reflects a whole-of-government understanding — where line ministries, the central bank, and political leadership share

a consistent account of the country's fiscal position, reform direction, and institutional capacity. When the narrative is owned only within the finance ministry, it is more fragile: it depends on a small number of officials, and it can be undercut by inconsistent signals from elsewhere in government. Building shared ownership of the ratings narrative across government — and, where relevant, with national stakeholders who can corroborate it — strengthens both the credibility of the engagement and the institutional trust on which it ultimately rests.

Treating the ratings relationship as an ongoing governance function, rather than a recurring administrative task triggered by external events, is the starting point for addressing this gap. The remainder of this chapter examines what that treatment looks like in practice.

II WHAT IS THE **DEVELOPMENT CONTEXT?**

The problems identified in Section I are not unique to Africa, but the African context shapes both their severity and the realistic path to addressing them. Understanding that context is essential for designing coordination mechanisms that are ambitious enough to matter and realistic enough to sustain.

Finance ministries, central banks, debt management offices, and statistical agencies across the continent operate under significant capacity constraints — fewer staff per function than comparable institutions in advanced economies, and higher demands on those staff across a broader range of responsibilities. Ratings engagement competes with day-to-day operational demands, and without protected capacity dedicated to managing the relationship, it tends to be compressed into reactive moments around borrowing operations or scheduled reviews. These capacity constraints are compounded by institutional histories shaped by structural adjustment legacies, donor-driven reform programs, and

Strengthening Institutional Coordination in Kenya and the Philippines

Several countries have taken steps to strengthen institutional coordination in sovereign credit ratings engagement, offering practical lessons for policymakers:

In Kenya, coordination between the National Treasury, Central Bank, and debt management offices has helped streamline communication and align policy messaging during rating reviews.

In the Philippines, a more structured inter-agency approach has supported consistent engagement with rating agencies and contributed to clearer communication of policy priorities.

These examples illustrate how formal coordination structures can strengthen policy credibility by improving the clarity, consistency, and timeliness of information provided to analysts.

frequent reorganizations. Coordination mechanisms are therefore being introduced into existing arrangements rather than designed from scratch. As a result, mandates are often unclear or overlapping — with central banks, debt management offices, investor relations units, and sometimes presidential or prime ministerial offices all engaging with rating agencies alongside ministries of finance.

Against this backdrop, international experience offers a useful operational reference point for what sustained institutional ownership can look like →

The Philippines established an Investor Relations Group (IRG) in 2001 within the Bangko Sentral ng Pilipinas, explicitly designed to coordinate engagement with rating agencies, investors, and international financial institutions. The IRG has since been consistently ranked among the top investor relations offices in emerging markets by the Institute of International Finance. Its defining features are modest in concept but demanding in execution: a clearly designated lead function, formalized coordination with the ministry of finance and debt management office, continuity of staffing that preserves institutional memory, and predictable cadence of communication with analysts and investors between formal reviews (Benard 2026, ACRI working paper).

The Philippines model is not directly transferable, and it should not be treated as a template. Its relevance lies in what it demonstrates about what sustained coordination looks like at maturity — and in making clear that the underlying functions are not exotic. Designating a lead institution, formalizing interagency relationships, protecting staffing continuity, and maintaining regular communication are within reach for most African finance ministries, even where capacity is constrained.

Experience from recent ACRI engagements adds further weight to this framing. At the February 2026 ACRI convening at UN Headquarters in New York, representatives from the major credit rating agencies observed that improvements in institutional coordination are increasingly visible across African sovereigns — and that more structured interagency coordination has improved the clarity, consistency, and timeliness of policy communication in several countries. While anecdotal, this direct feedback from the analysts who produce ratings reinforces the chapter's central claim: how governments organize internally shapes how their policies are interpreted externally. Coordination is not only a precondition for effective engagement — it is itself read by analysts as a signal of institutional capacity.

The realistic path for most African countries is incremental rather than comprehensive →

Coordination mechanisms that begin with clear ownership of the rating relationship — even a single designated focal point within the ministry of finance — and build outward over time tend to be more sustainable than ambitious institutional structures that exceed current capacity. The goal is a coordination system that functions reliably within existing constraints, not a perfect replica of models developed in other contexts.

Core Functions of an Inter-Agency Credit Ratings Coordination Mechanism

Governments that engage effectively with credit rating agencies (CRAs) often establish formal coordination mechanisms that bring together the institutions responsible for sovereign economic policy and data reporting.

Although institutional structures vary across countries, effective coordination mechanisms typically include several core functions:

Clear institutional leadership: One institution—often the ministry of finance or debt management office—serves as the lead coordinator for engagement with credit rating agencies.

Multi-agency participation: Coordination mechanisms typically include representatives from key institutions such as:



Regular information sharing: Participating institutions meet periodically to review economic developments, align policy communication, and prepare for potential ratings engagement.

Data coordination: The mechanism helps ensure consistency across fiscal data, debt statistics, macroeconomic forecasts, and external sector information.

Preparation for ratings reviews: Coordination mechanisms allow governments to prepare briefing materials, anticipate analytical questions, and organize responses to rating agencies.

Institutional memory: Documenting previous ratings discussions and analytical concerns helps governments maintain continuity even when personnel change.

When supported by clear leadership and regular communication, these mechanisms strengthen policy credibility and improve governments' ability to engage with credit rating agencies.

III PRACTICAL TIPS FOR AFRICAN POLICYMAKERS

Chapter 2 has argued that institutional coordination is itself a signal analysts read, and Section II has identified what sustained coordination looks like at maturity. The practical question for most African policymakers is how to move from current arrangements toward that state given real constraints — capacity, institutional history, political transitions, and competing demands on senior officials' attention. Seven principles support incremental institution-building in this context:

1. **Start with ownership before structure.** The single most consequential step is designating one institution as formally responsible for the ratings relationship — even if the supporting coordination architecture is not yet in place. In practice, a clear lead without a full mechanism functions better than a full mechanism without clear ownership. Where new institutional structures are politically difficult to create, formalizing existing informal arrangements can be an effective first move.

2. **Embed ratings coordination within broader economic governance.** Rather than treating ratings as a stand-alone technical exercise, governments can integrate ratings coordination into the national mechanisms that manage macroeconomic policy, debt sustainability, investment promotion, and long-term development planning. Anchoring engagement in credible national strategies — ones that are costed, time-bound, and grounded in genuine domestic consultation — signals seriousness of intent more convincingly than aspirational plans, and ensures that progress on diversification, industrialization, and regional integration is reflected in engagement with rating agencies alongside traditional macroeconomic indicators.

3. **Use continental and regional platforms to build coordination capacity.** African countries face many shared challenges in ratings engagement, and continental and regional institutions offer mechanisms for peer learning, technical cooperation, and knowledge-sharing. Drawing on these can strengthen institutional readiness and reduce the cost of building engagement capacity country by country.

4. **Build on what already works.** Coordination infrastructure for ratings engagement often already exists in practice — around IMF Article IV consultations, debt sustainability analyses, or Eurobond preparation. These existing workflows are natural foundations for ratings engagement. Adapting and extending them is generally more sustainable than creating parallel structures that compete for the same staff time. Over time, the aim is to internalize this analytical capacity rather than rely on the external processes that currently support it: a government that conducts its own debt sustainability analysis — and links it to its domestic resource mobilization strategy — builds both stronger ratings engagement and stronger fiscal governance.

5

Treat documentation discipline as a partial substitute for staffing continuity. Staff turnover is a reality most African institutions cannot eliminate in the short term. What institutions can do is ensure that what individuals know becomes what the institution knows — through structured records of rating discussions, analyst questions, commitments made, and policy explanations provided. Documentation will not fully replace institutional memory, but it can meaningfully reduce the cost of turnover.

6

Protect dedicated capacity, even if small. A single analyst or small team explicitly assigned to the ratings relationship — rather than engagement being one responsibility among many for generalist staff —can make the difference between sustained engagement and reactive engagement. The specific size matters less than the fact of protected capacity that is not crowded out by operational demands.

7

Sequence ambition to political and institutional cycles. Coordination mechanisms established in the run-up to an election, a major reform push, or a leadership transition are less likely to survive those events. Building during periods of relative stability, and designing mechanisms that can survive changes at the political level, tends to produce more durable results than launching during periods of peak attention.

These principles are not a checklist for institutional reform. They reflect patterns in what tends to work, and what tends to be harder to sustain, when governments strengthen coordination under real capacity and political constraints.



IV ENGAGEMENT WITH CREDIT RATING AGENCIES

Chapter 1 established that engagement with credit rating agencies is about reducing the information gap that shapes how sovereign risk is assessed. This chapter has argued that institutional coordination is itself a signal analysts read. Section IV connects these two threads by looking at what coordination produces at the engagement interface — where government officials actually meet rating agency analysts.

Well-coordinated engagement has a recognizable texture, even from the analyst's side →

Data presented by different officials across different meetings is internally consistent. Policy developments are described in similar terms by the ministry of finance, the central bank, and the debt management office — not identically, but without contradiction. Questions about fiscal trajectory, debt composition, or external position are answered with specificity rather than referrals to other institutions. Follow-up requests are handled promptly and completely. Commitments made in one review are visible in the next review. Well-coordinated engagement also tends to be proactive — the coordination mechanism reaches out to rating agencies when material policy developments occur, when fiscal or external conditions shift, or when narrative context would help analysts interpret incoming data, rather than waiting for agencies to request information. Analysts come away with a coherent picture of the sovereign and clear points of contact for follow-up.

Poorly-coordinated engagement has a different texture →

Numbers vary across sources in ways that require reconciliation. Policy framings differ depending on the institution presenting. Analyst questions are deflected with "that's managed by another ministry" or not answered at all.

Follow-up requests are handled inconsistently or not at all →

Commitments from previous reviews must be re-explained because the officials who made them have moved on. Poorly-coordinated engagement also tends to be reactive — material developments often reach analysts through media coverage, market reports, or peer commentary before the government communicates them directly, which gives analysts less time to interpret events and reinforces the perception that the sovereign is harder to engage between scheduled cycles. Analysts are left to construct a coherent picture themselves from inconsistent inputs, and they do so with the conservative assumptions that uncertainty invites.

The difference between these two engagement textures is not primarily a matter of how well individual officials perform in the room. It is a matter of whether the institutional work done between engagements — the coordination, documentation, and messaging alignment described in Sections II and III — has made it possible for individual officials to represent the sovereign coherently. Good engagement in the room is the visible surface of sustained institutional work beneath it.
For policymakers, this has two practical implications. First, engagement performance cannot be substantially improved by better briefing of the delegation alone. The underlying coordination work must be in place for any individual meeting to go well. Second, individual engagement moments are diagnostic. How they go — where data gets flagged as inconsistent, where officials hesitate, where follow-up falls apart — reveals where coordination has not yet reached.
The most useful response to a difficult engagement is often not preparing harder for the next one, but using what the engagement revealed to strengthen the coordination mechanisms that produced the difficulty.

Chapter 3
Understanding the Sovereign Credit Ratings Process

Chapter 3 at a Glance

Core message

The ratings process follows structured and predictable stages — and governments are active participants at several of those stages, not merely subjects of assessment. Understanding where along the process government influence is greatest, and where it is not, is essential for directing engagement effort effectively. The analyst stage is where interpretation is shaped; the committee stage is where it is evaluated.

Key takeaways

Concentrate engagement effort at the analyst stage — by the time a ratings committee convenes, the analytical substance has largely been determined.

Prepare for both scheduled and event-driven reviews: ratings committees can convene whenever material developments warrant reassessment, not only on a fixed calendar.

Carry the right expectations into ratings engagement — the process is informational, not consultative, and the government's role is to make the country as intelligible as possible to an external evaluator.

What to avoid: Do not concentrate senior-level engagement effort around committee dates or formal representations after a rating action — both arrive too late to shape the analytical substance the committee evaluates.

Chapters 1 and 2 have established that effective engagement with credit rating agencies is a governance function — oriented toward reducing the information gap that shapes how sovereign risk is assessed, and supported by the institutional coordination analysts read as a signal in its own right. This chapter focuses on the process and covers how sovereign credit ratings are actually produced and where along that process governments can meaningfully shape how their fundamentals are understood.

The ratings process often appears opaque from outside →

Committee deliberations are confidential, methodologies are dense, and the distinction between analysts who engage with governments and committees that make final decisions is not always clear. Yet the process follows structured and predictable stages — and at several of those stages, governments are active participants rather than subjects of assessment. Understanding where those stages lie, what happens at each, and which are open to government influence versus which are not, is essential for engaging effectively (Swann 2026, ACRI working paper; N'Sondé 2026, ACRI working paper).

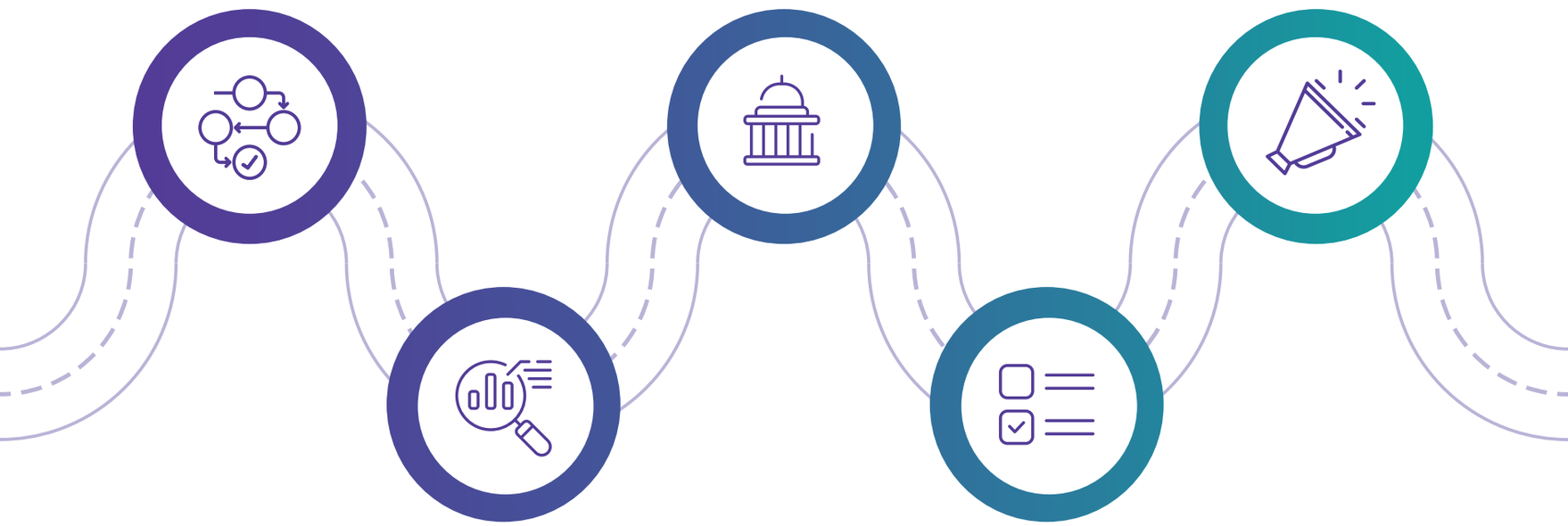
The Sovereign Credit Rating Process infographic illustrates the typical sequence through which sovereign credit ratings are produced. Credit rating agencies begin by publishing their analytical methodologies, which describe the criteria used to evaluate sovereign credit risk. Agency analysts then conduct detailed economic assessments, reviewing macroeconomic performance, fiscal developments, debt dynamics, and institutional conditions. During this stage, governments interact with analysts to clarify economic data and explain policy developments.

The analysis is then presented to a ratings committee, which evaluates the evidence and determines the final rating outcome. The rating decision is subsequently published with an explanation of the key analytical factors. After the announcement, the sovereign remains under continuous surveillance, allowing credit rating agencies to monitor economic developments and reassess sovereign risk when necessary.

Understanding this process helps policymakers recognize that sovereign credit ratings reflect structured analytical evaluations of credit risk, rather than immediate responses to individual policy decisions or economic indicators. It also reveals where the scope for government influence is greatest — primarily at the analyst engagement stage, where the quality of information and explanation directly shapes the interpretation that reaches the committee.

This chapter walks through the process stage by stage. Section I identifies the most common misunderstandings policymakers bring to ratings processes — including confusion about the roles of analysts versus committees, and expectations about timing. Section II situates the ratings process within the broader landscape of international economic assessments, with particular attention to how it differs from IMF Article IV consultations, which many African policymakers know well. Section III offers practical guidance on engaging with each stage of the process. Section IV examines the specifically bilateral nature of the engagement relationship and what it implies for how policymakers should approach their interactions with rating agencies.

Figure 3 The Sovereign Credit Rating Process



STEP 1	STEP 2	STEP 3	STEP 4	STEP 5
Publication of rating methodologies	**Analytical review by CRA analysts**	**Information exchange with government**	**Ratings committee decision**	**Public announcement and surveillance**

How the Sovereign Credit Rating Process Works

Although methodologies differ slightly across agencies, sovereign ratings typically follow a similar sequence of steps:



Publication of rating methodologies: Credit rating agencies publish detailed methodologies explaining how sovereign credit risk is evaluated. These frameworks describe the indicators, analytical criteria, and institutional factors used in ratings assessments.



Analytical review by agency analysts: Analysts assess macroeconomic performance, fiscal developments, debt dynamics, external conditions, and institutional factors. They review data from governments, international institutions, and financial markets.



Information exchange with government: Analysts engage with government officials to clarify data, discuss policy developments, and understand economic trends. These discussions help analysts interpret both quantitative indicators and policy frameworks.



Ratings committee decision: A ratings committee reviews the analysis and determines the rating outcome. Committees operate within methodological guidelines and consider both economic data and forward-looking risk assessments.



Public announcement and ongoing surveillance: The rating decision is published with an explanation of the key analytical factors. The sovereign then remains under continuous monitoring, allowing agencies to respond to new developments when necessary

Understanding this sequence helps policymakers interpret ratings outcomes more accurately and prepare more effectively for interactions with rating agencies.

WHAT IS THE **PROBLEM?**

Policymakers engaging with the ratings process for the first time — or returning to it after periods of inactivity — can misread the process in two specific ways, with direct consequences for how effectively they engage.

The first misreading concerns where decisions are actually made →

Because ratings committee deliberations are confidential, the committee itself takes on outsized weight in how governments think about the process. Officials often focus engagement effort on trying to influence the committee's final judgment — through high-level meetings, formal representations, or appeals after a decision has been taken. But the committee is the final stage of a process whose analytical substance has been largely determined before the committee meets. By the time a committee convenes, the analyst team has already produced the assessment, framed the recommendation, and compiled the supporting evidence. The committee evaluates this work; it rarely reconstructs it. The practical implication is that engagement effort concentrated at the committee level arrives too late to shape the substance of the assessment. The analyst engagement stage — where data is clarified, policy developments are explained, and analytical context is built — is where government influence on interpretation is greatest (Swann 2026, ACRI working paper).

The second misreading concerns timing

A recurrent challenge in ratings engagement, documented across practitioner experience, is calibrating readiness for

Understanding the Role of Ratings Committees

Credit rating agencies typically separate analytical work from final ratings decisions.

Analysts: Analysts conduct the detailed economic assessment of sovereign risk. They review macroeconomic data, fiscal developments, debt dynamics, and institutional factors. Analysts also engage directly with government officials to clarify policy developments and economic conditions.

Ratings Committees: Ratings committees review the analysis prepared by analysts and determine the final rating outcome. Committees typically include senior analysts and methodological specialists who evaluate the evidence within the agency's published frameworks.

Why this structure matters: Committee-based decision-making helps rating agencies promote consistency across countries and reduce the influence of individual judgments.

For policymakers, it is therefore important to understand that engagement occurs primarily with analysts, while ratings committees make the final decision.

event-driven as well as scheduled reviews (Swann 2026, ACRI working paper). Ratings committees can convene whenever significant developments warrant review — major policy changes, economic shocks, debt events, or shifts in external conditions — meaning engagement readiness cannot be tied to a review calendar alone. This flexibility is a feature of the system, not an irregularity: it allows agencies to respond to material developments rather than waiting for the next scheduled review. For governments, however, it means that engagement readiness cannot be calibrated to a review calendar. A scheduled review may be followed by an unscheduled committee meeting triggered by a budget announcement, a governance development, or a market event. Governments that prepare only for scheduled engagement are routinely caught flat-footed when off-cycle reviews occur.

These two misreadings compound each other →

A government that concentrates engagement effort around scheduled committee dates, and focuses that effort on influencing committee-level judgment rather than analyst-level interpretation, can find itself engaging late in the process on the wrong tier of the decision chain. The underlying issue is not a lack of engagement effort — it is engagement effort aimed at the wrong stage and timed to the wrong cycle. Understanding the process as a continuous, stage-based system — rather than an episodic event centered on committee meetings — is the starting point for addressing both misreadings. The remainder of this chapter develops what that reframing implies in practice.



II

WHAT IS THE **DEVELOPMENT CONTEXT?**

African finance ministries typically engage regularly with the International Monetary Fund's Article IV consultation process. Annual missions, staff-level discussions, draft reports reviewed by government, and Executive Board consideration form a familiar institutional rhythm. Because rating agency engagement also involves analytical dialogue with external teams evaluating economic conditions, the two processes can appear similar from the outside, which makes the differences between them operationally important to understand.

The two processes share some surface features. Both involve external analysts reviewing macroeconomic and fiscal conditions. Both include structured engagement with government officials. Both produce written assessments that matter for how external audiences perceive the country. For a policymaker encountering rating engagement for the first time, the natural reference point is IMF Article IV — and that reference point is useful as a starting orientation.
But the differences are operationally decisive. Practitioner experience across rating cycles consistently identifies this misreading as a recurring source of friction between governments and rating agencies — one that shapes how engagement is structured and what governments expect from it (N'Sondé 2026, ACRI working paper).

The first difference concerns purpose →

Article IV consultations are designed to provide policy advice. IMF staff assess economic conditions, identify risks, and recommend policy actions the authorities may consider. The government responds to these recommendations, and the dialogue produces an advisory document. Sovereign credit rating assessments are designed to produce a credit risk opinion. Rating analysts are not advising the government; they are evaluating the sovereign's creditworthiness on behalf of investors. No policy recommendations are produced, and no advisory relationship exists.

The second difference concerns the role of government in the process →

Under Article IV, the government is a counterpart to the IMF — it receives recommendations, provides responses, and its views are reflected in the final documentation reviewed by the

Executive Board. Under ratings engagement, the government is a subject of assessment — it provides information and explanation to inform the analyst's judgment, but it does not review or respond to the final committee decision. The draft rating announcement is typically provided to the government only briefly before publication, for factual accuracy checks rather than substantive consultation.

The third difference concerns timing and predictability →

Article IV consultations follow a largely predictable annual cycle, and the steps within each cycle (mission, concluding statement, draft report, Board meeting) proceed on known timelines. Rating reviews may be scheduled, but committees can also convene on an event-driven basis when material developments warrant reassessment. Governments can plan Article IV engagement months in advance; rating engagement requires sustained readiness for both scheduled and unscheduled review.

These differences add up to a fundamentally different posture for government engagement →

In Article IV, the government participates in a consultative exchange with the option to accept, push back on, or reframe policy recommendations. In rating engagement, the government's contribution is informational rather than consultative — the quality of information, explanation, and context provided shapes the analyst's interpretation, but the final judgment sits outside the government's reach.

Understanding this distinction matters because it calibrates what engagement effort is actually for. Governments that approach ratings engagement with Article IV instincts — expecting to shape recommendations, respond to draft findings, or negotiate outcomes — tend to come away frustrated. Governments that approach it as a process of making one's country as intelligible as possible to an external evaluator tend to engage more effectively.

Table 1 IMF Surveillance and Sovereign Rating Processes

	IMF Article IV	Sovereign Credit Rating Review
Purpose	Policy advice and macroeconomic surveillance	Credit risk opinion for investors
Government role	Counterpart in advisory dialogue	Subject of external assessment
Final output	Advisory report reviewed by IMF Executive Board	Rating decision by independent committee
Frequency	Annual cycle, predictable timelines	Periodic, with event-driven reviews possible
Government engagement posture	Consultative — responds to recommendations	Informational — shapes interpretation, not judgment

III PRACTICAL TIPS FOR AFRICAN POLICYMAKERS

Chapter 3 has described how the ratings process works and how it differs from more familiar processes like IMF Article IV consultations. Five practical principles follow for navigating the process effectively.

1

Concentrate engagement effort at the analyst stage. The analyst team's assessment and recommendation largely determine the substance of what the ratings committee evaluates. Senior-level meetings timed around committee decisions — or formal representations made after a rating action — arrive too late to shape the analytical substance. The most valuable engagement happens months before any committee meets, during the ongoing analyst dialogue that builds the interpretation the committee will eventually review.

2

Prepare for both scheduled and event-driven reviews. Annual or periodic reviews are not the only trigger for committee action. Major policy announcements, budget presentations, debt events, governance developments, and economic shocks can all precipitate off-cycle reviews. Governments that prepare only for scheduled engagement can find themselves unprepared for reviews triggered by their own policy decisions. Engagement readiness should be continuous, with the expectation that material developments may generate analyst questions within days rather than weeks.

3

Carry the right expectations into ratings engagement. The rating process is not consultative in the way IMF Article IV is. Governments do not review draft assessments for substantive comment, negotiate findings with analysts, or respond to recommendations through formal channels. Attempts to push back on draft ratings, appeal committee judgments outside the established procedures, or engage at senior political levels to shape outcomes tend to damage the analytical relationship rather than improve it. The productive posture is informational: make the country as intelligible as possible to the analyst, and allow the assessment to reflect that clarity.

4

Use the methodology document as operational reference. Rating agencies publish detailed methodologies that specify what indicators matter, how they are weighted, what qualitative factors are assessed, and how committee decisions are structured. These documents are not only analytical references — they are guides to what engagement should prioritize. Governments that use published methodologies to anticipate analyst questions and structure their own data preparation tend to engage more efficiently than those who treat the methodology as opaque.

5

Treat the process as continuous, not episodic. A scheduled review is a visible moment in a continuous surveillance relationship, not a standalone event. The analyst's interpretation at the review reflects accumulated context from prior engagement, policy decisions, economic developments, and communication since the last review. What happens between reviews shapes what happens at them, and governments that engage continuously — providing updates, flagging developments, maintaining dialogue — tend to find review moments less surprising than those who engage only when a review approaches. One effective form of continuous engagement is regular self-evaluation against national strategies — domestic resource mobilization strategies in particular, but any nationally endorsed strategic document — which demonstrates a government's sustained capacity to deliver on its commitments and to raise revenue predictably.

IV ENGAGEMENT WITH CREDIT RATING AGENCIES

Chapter 3 has examined the ratings process as a structured, stage-specific system. Section IV applies that understanding to the analyst relationship itself — the sustained professional exchange between government officials and rating agency analysts that carries engagement from one review to the next.

This relationship has a distinctive character, and misunderstanding its character produces some of the most common errors in ratings engagement. Three features are worth naming explicitly.

First, the analyst relationship is professional, not partnered →

Over time, government officials and rating analysts often develop working rapport — analysts come to understand a country's political economy, policymakers learn how particular analysts think, and the back-and-forth becomes more efficient. But this rapport does not produce shared interests. The analyst's professional responsibility is to produce an accurate credit assessment for the agency's clients, not to help the government achieve favorable outcomes. Mistaking rapport for partnership leads to disappointment when analyst recommendations diverge from government expectations — even when the engagement has been constructive throughout.

Second, the relationship is asymmetric in information but symmetric in professional standards →

Analysts have broader comparative perspective — they see many sovereigns, they understand methodological evolution across the agency, they observe how investors interpret ratings. Governments have deeper country-specific knowledge — they understand local political economy, they know the provenance of the data, they see implementation dynamics that analysts can only infer. Neither side has all the relevant information, and productive engagement reflects this mutual incompleteness. Governments that assume analysts lack sophistication about African contexts, or that analysts assume governments will not understand methodology, both engage poorly. The relationship works best when both sides assume professional competence on the other side and engage accordingly.

Third, the relationship is continuous, but the engagement is stage-specific →

The analyst relationship persists between reviews and across rating cycles — analysts are generally responsive to government outreach, willing to take clarifying questions, and open to updates on policy developments. But the weight of engagement varies by stage. Casual contact between reviews maintains the relationship; substantive analytical engagement in the run-up to a review shapes the interpretation that reaches the committee; engagement after a rating action is rarely productive for altering outcomes but can be useful for understanding the reasoning and identifying areas to address for the next cycle. Engagement matters most in the pre-review window, less between reviews, and rarely after a rating is issued. Calibrating effort to stage — rather than engaging at constant intensity — builds stronger analyst relationships over time.

Understood this way, the analyst relationship is neither the partnership governments sometimes hope for nor the opaque black box they sometimes fear. It is a structured professional relationship with distinctive rules, and governments that engage within those rules tend to see their countries assessed with greater accuracy — which, over time, is the strongest foundation for whatever rating movement their fundamentals ultimately support.

Chapter 4
Preparing for Ratings Engagements (Before the Process)

Chapter 4 at a Glance

Core message

Preparation is the dimension of ratings engagement most under government control — and the one most commonly misdesigned. The problem is rarely insufficient effort; it is preparation calibrated to backward-looking reporting when rating methodologies are forward-looking, and activated by discrete events when ratings engagement requires continuous readiness. Designing preparation differently is among the highest-leverage investments a government can make.

Key takeaways

Build preparation on existing reporting workflows — IMF Article IV materials, debt sustainability analyses, and budget documentation already contain much of the analytical substance ratings engagement requires; the task is adaptation, not duplication.

Structure preparation around the methodology document, not the review calendar — published methodologies specify what committees weigh and provide the organizing framework for what to prepare.

Maintain living preparation materials updated on a rolling basis, so that both scheduled and event-driven reviews can be met with coherent, current analysis rather than materials assembled under pressure.

What to avoid: Do not treat preparation as the discretionary element that can be compressed when operational demands press — preparation is the highest-leverage input to engagement quality, and compressing it typically costs more than the demands that displaced it.

Chapter 1 established that engagement with credit rating agencies is a governance function oriented toward reducing the information gap. Chapter 2 argued that the institutional coordination supporting engagement is itself a signal analysts read. Chapter 3 examined the structured process engagement feeds into, identifying the analyst stage as the primary point of government influence. This chapter turns to the work that happens before any engagement moment arrives — the sustained preparation that determines whether a government can engage effectively when the moment comes.

Preparation for ratings engagement is a forward-looking discipline →

Rating analysts evaluate not only current economic conditions but also policy trajectories, institutional resilience, and vulnerability to future risks (N'Sondé 2026, ACRI working paper). Governments that prepare only for questions about current performance find themselves unprepared for the questions that actually matter — about how policies will behave under stress, how institutions will respond to shocks, and whether reform momentum is durable across political cycles. Preparation that matches the forward-looking orientation of the methodology — rather than the backward-looking orientation of most performance reporting — is among the most consequential investments a government can make in its engagement with rating agencies.

This chapter examines what that preparation involves in practice →

Section I identifies the specific preparation gaps that emerge when governments engage reactively rather than proactively. Section II situates these challenges within the African context,

where capacity constraints and competing demands shape what sustained preparation can realistically look like. Section III offers practical guidance on building preparation systems that function within those constraints. Section IV returns to the engagement relationship, examining how preparation quality shapes the substance of analyst interactions when they occur.



I WHAT IS THE **PROBLEM?**

The problem Chapter 4 addresses is not a lack of preparation effort. Substantial preparation effort typically goes into ratings engagement — briefing materials are compiled, officials are assigned, data is gathered, talking points are drafted. The problem is that default preparation habits are often misaligned with what ratings engagement actually requires. Three specific disconnects often occur when engaging with rating agencies.

The first disconnect is temporal →

Preparation is typically triggered by discrete events — a scheduled rating review, an upcoming Eurobond issuance, an analyst request. This event-triggered rhythm is well-suited to most government reporting functions, where outputs are produced on known timelines for known audiences. Ratings engagement operates differently: material developments can trigger committee action outside scheduled review cycles, analyst requests can arrive with short response windows, and the cumulative context built between reviews shapes the assessments produced at them. Preparation activated only when a trigger arrives tends to leave insufficient time to build the coherent analytical case that ratings engagement rewards.

The second disconnect is orientational →

Government reporting and communication infrastructure is largely built to describe what has happened — fiscal performance in the completed period, debt levels at the reporting date, economic indicators at their most recent measurement. Rating methodologies evaluate what is likely to happen — whether current performance is durable, whether institutions can absorb shocks, whether policy credibility will hold under pressure. The forward-looking orientation is not incidental to rating methodology; it is central to how committees make decisions. Governments preparing with predominantly backward-looking materials find that analyst questions and committee concerns operate on a different temporal axis than their preparation supports.

The third disconnect is scope →

Preparation materials often concentrate on the quantitative dimensions of economic performance — growth rates, fiscal balances, debt ratios, external position. These indicators matter, and rating methodologies treat them seriously. But the methodologies also evaluate factors that quantitative indicators alone cannot capture: policy credibility, institutional resilience, reform durability, and the coherence of the narrative connecting economic performance to policy choices. Governments that prepare exhaustively on numbers but lightly on narrative and institutional dimensions find themselves answering technical questions capably while struggling with the qualitative and forward-looking questions where rating judgments are actually made. Preparing on these dimensions can also mean drawing on local stakeholders as allies: domestic banks — whether locally owned or branches of international institutions — and major local firms often provide analysts with independent, on-the-ground corroboration of a government's account, and engaging them as part of the preparation process can strengthen the credibility of the narrative a government brings to engagement.

These three common disconnects compound each other →

Event-triggered preparation, focused on backward-looking indicators, narrowly scoped to quantitative performance, produces briefing materials that answer questions rating methodologies have largely stopped asking. This is not a failure of preparation effort. It is a failure of preparation design — and designing preparation differently is what this chapter examines.



II

WHAT IS THE **DEVELOPMENT CONTEXT?**

The three disconnects identified in Section I are not unique to Africa, but the African context shapes the specific form each takes and what realistic preparation systems can look like. Three features of that context are particularly relevant.

Data infrastructure is generally built for backward-looking reporting →

Most African statistical agencies, ministries of finance, and central banks produce high-quality retrospective data — fiscal reports on closed periods, debt statistics at reporting dates, macroeconomic indicators at their most recent measurement. Forward-looking infrastructure — scenario modeling, stress-testing capacity, trajectory forecasting under alternative assumptions, sensitivity analysis — is less developed, often concentrated in specific units (central bank research departments, debt management offices) without broader integration across the government. Preparation for forward-looking engagement therefore has to build on data systems that were not designed with that purpose in mind — which creates additional analytical work even when basic reporting is solid.

Reporting ecosystems are already crowded →

African finance ministries typically operate within already-crowded reporting ecosystems — producing analytical materials for IMF Article IV consultations, World Bank Debt Sustainability Analyses, donor reporting requirements, budget presentations, and domestic parliamentary processes. These workflows absorb significant staff time and establish reporting rhythms that may or may not align with ratings engagement needs. Ratings preparation can draw productively on this existing infrastructure — much of the underlying analysis is relevant — but it requires deliberate adaptation rather than simply repurposing materials prepared for other audiences. The alternative is parallel preparation workflows that compete with existing demands for the same staff time, which rarely proves sustainable.

Forward-looking analytical capacity is specialized and thinly distributed →

The specific analytical skills that ratings engagement rewards — interpreting methodology documents, framing policy narratives for external analytical audiences, building coherent forward-looking cases from incomplete data, anticipating analyst questions — are specialized capacities that most African finance ministries have in limited supply. Traditional macroeconomic and fiscal analysis capacity is typically stronger; ratings-specific analytical work — methodology interpretation, forward-looking scenario framing, narrative construction for external audiences — is often concentrated in one or two officials, whose departure can substantially reduce preparation capacity. This concentration is a vulnerability worth addressing deliberately. Institutionalizing this analytical capacity — embedding it in dedicated functions, documenting methods and approaches, and building it into more than one official's remit — is not only a ratings-preparation improvement but a foundation for sound long-term fiscal strategy, since the same forward-looking analytical skills underpin effective debt management and fiscal planning more broadly.

One dimension of preparation infrastructure is foundational and deserves particular emphasis →

investment in data quality, fiscal transparency, and debt-data systems is itself a preparation investment, not only a governance improvement. When quantitative indicators are incomplete — because of informal sector size, delayed fiscal reporting, or uneven debt composition data — rating methodology fills the analytical gap with judgment, and judgment under information asymmetry tends to be conservative (Benard 2026, ACRI working paper; Swann 2026, ACRI working paper). Investments in public debt data systems, fiscal transparency platforms, and statistical capacity directly reduce the space in which that conservative judgment operates. A government that frames these investments as a sovereign ratings strategy — with a measurable return in how methodology reads the country — also gains a concrete rationale for requesting dedicated international support, positioned not as general capacity building but as investment in the data foundation that rating methodology requires (Benard 2026, ACRI working paper).

Against this context, the realistic path is not to build ideal preparation systems from scratch but to design preparation functions that work with existing infrastructure while addressing the specific forward-looking, narrative, continuous-readiness, and data-infrastructure gaps that Section I identified. What this looks like in practice is the subject of Section III.

Ratings Engagement Readiness Framework

Effective preparation integrates five elements, each addressing a specific dimension of the forward-looking, continuous readiness that rating methodologies reward:



Methodology literacy. Use published rating methodologies to structure preparation, so materials address the questions committees actually weigh.



Forward-looking materials. Support discussion of policy trajectories, institutional resilience, and reform durability — not only current performance.



Narrative coherence. Ensure fiscal performance, debt dynamics, reform efforts, and policy priorities connect in a consistent story.



Continuous readiness. Update preparation materials on a rolling basis rather than assembling them before each engagement.



Rapid response capacity. Establish pre-agreed procedures for responding to analyst requests within short windows.

III PRACTICAL TIPS FOR AFRICAN POLICYMAKERS

Chapter 4 has argued that effective preparation is a forward-looking discipline that works with — not against — existing African institutional realities. Six practical principles support designing preparation that addresses the disconnects identified in Section I without overtaxing the capacity constraints identified in Section II.

1

Build preparation on existing reporting workflows rather than parallel to them. Materials produced for IMF Article IV consultations, World Bank Debt Sustainability Analyses (DSAs), budget presentations, and domestic parliamentary processes already contain much of the analytical substance that ratings engagement requires. The task is adaptation, not duplication — identifying which existing outputs can be repurposed for ratings preparation, flagging where gaps exist, and producing only the specifically ratings-focused materials that existing workflows don't cover. This approach is generally more sustainable than creating parallel ratings-specific analytical pipelines that compete with established reporting demands for the same staff time.

2

Document structural resilience and long-term transformation, not only macroeconomic performance. Rating preparation tends to concentrate on fiscal and debt indicators, but forward-looking creditworthiness also rests on structural factors. Preparation materials can document progress on economic diversification, industrialization, regional integration through the African Continental Free Trade Area (AfCFTA), and resilience-building measures such as climate adaptation and food security — situating these alongside traditional macroeconomic indicators as evidence relevant to long-term growth prospects and creditworthiness, in line with the priorities of Agenda 2063.

3

Concentrate analytical capacity where the forward-looking work happens. The specific skill set that ratings engagement rewards — methodology interpretation, forward-looking scenario framing, narrative construction — is specialized and typically scarce. Rather than distributing these responsibilities thinly across many officials, concentrate them in a small, dedicated preparation function with clear ownership of the ratings analytical work. Protect this function from operational crowding, and ensure its outputs feed into broader coordination mechanisms rather than operating in isolation.

4

Structure preparation around the methodology, not the calendar. Published rating methodologies specify what committees weigh and in what proportions. Preparation that uses the methodology document as its organizing framework — addressing each methodology dimension with current analysis, forward-looking context, and supporting evidence — is more efficient than preparation organized around reporting cycles or past review questions. The methodology is the preparation syllabus; updates to methodologies signal shifts in what preparation should prioritize.

5

Maintain living preparation materials, not one-off briefings. Preparation materials assembled specifically for upcoming engagements are quickly outdated. Materials maintained on a rolling basis — updated with major policy developments, refreshed quarterly with new data, reviewed periodically for narrative coherence — support both scheduled and unscheduled engagement at lower marginal cost per engagement. Living materials also accumulate institutional memory, reducing the preparation capacity lost when individual officials transition.

6

Protect the pre-review window. When a review is scheduled or an event-driven review becomes likely, the weeks before engagement are the highest-value preparation time. Protect this window from operational demands where possible, ensure that key preparation officials are available, and use the window to review materials for coherence, anticipate analyst questions, and coordinate messaging across institutions. Preparation quality in the pre-review window has outsized influence on engagement quality; compressing it to accommodate other demands tends to produce costs in engagement effectiveness that exceed what was gained by redirecting the time.

When Preparation Gaps Meet Engagement Reality: An Illustrative Case

The cost of inadequate preparation systems becomes most visible under compressed response timelines, where reactive approaches break down.

An illustrative case documented in ACRI work illustrates this dynamic. A sovereign received notification that a rating agency committee had decided to downgrade its rating, along with a draft announcement for comment within a six-hour response window. Officials believed they had relevant counter-evidence and sought to request an appeal committee—a procedural option available under agency rules when invoked within the response window.

The window closed without a response. Standing procedures required the Minister's personal approval for any official communication with the rating agency, but the Minister was traveling and unavailable. By the time approval was obtained, the announcement had been published and the opportunity to request an appeal had expired.

This case is not primarily about the rating decision itself. It illustrates how preparation systems designed for standard reporting cycles can fail under the compressed timelines of ratings engagement.

Three preparation elements would have changed the outcome:



Delegated authority for time-sensitive responses



Pre-prepared templates for procedural requests such as appeals



Clear response protocols that treat rating agency deadlines as operationally binding

Source: Swann 2026, ACRI working paper (Scenario 1, Appeal Committee Examples)

The practical response to this kind of preparation failure is not heroic effort under pressure — it is a sustained preparation cycle that keeps the response infrastructure in place before it is needed.

A Continuous Preparation Cycle

Effective preparation operates on multiple cadences simultaneously:

Continuous: Monitor major policy developments, economic indicators, and market movements. Update living materials as significant changes occur.

Quarterly: Review and refresh preparation materials — data currency, narrative coherence, policy trajectory framing. Convene the preparation function to identify emerging analytical concerns.

Pre-engagement (weeks before): Protect preparation capacity from operational demands. Review methodology documents for recent updates. Anticipate analyst questions. Coordinate messaging across institutions.

Post-engagement: Document analyst questions, concerns raised, and commitments made. Feed these into living materials so institutional memory accumulates for the next cycle.

Working across these cadences transforms ratings preparation from an episodic exercise into an institutional habit — one that builds institutional memory, reduces the cost of each engagement, and keeps governments ready for both scheduled and unscheduled reviews.



IV ENGAGEMENT WITH CREDIT RATING AGENCIES

Chapter 2 Section IV examined what coordinated and uncoordinated engagement look like from the analyst side. This chapter's counterpart question is what engagement feels like from the government side when preparation has and has not been built along the lines this chapter has described.

When preparation has been done well, engagement has a different texture than the process often appears from the outside →

Analyst questions are rarely surprises — most have been anticipated in preparation and can be answered with materials already assembled. Requests for additional information or clarification can be turned around quickly because the underlying analysis and data have been maintained on a rolling basis. Officials across institutions present policy developments in consistent terms because the narrative coherence work has been done before the engagement, not during it. The delegation arrives at meetings with a shared understanding of what is being asked and why, and the engagement becomes a conversation about substance rather than a scramble for information. The experience is not effortless — rating engagement is demanding even at its best — but it is coherent, controlled, and productive.

When preparation has not been done well, the engagement experience is recognizably different →

Analyst questions arrive as surprises, even when the underlying analytical territory is familiar. Follow-up requests land during periods when preparation capacity is already stretched, forcing choices between responding to the analyst and maintaining other operational demands. Officials discover mid-engagement that their framing of policy developments differs from how colleagues in other institutions have framed them, and reconciliation happens publicly rather than internally. The delegation enters meetings carrying internal disagreements or uncertainties into a setting where those disagreements are visible to analysts who are actively calibrating their assessment of institutional coherence. The experience is exhausting and reactive — and the assessment produced reflects the reactivity as much as it reflects the underlying fundamentals.

The difference between these two experiences is largely determined before the engagement begins →

Preparation is the dimension of ratings engagement most under government control — methodology cannot be negotiated, committee decisions are independent, market reactions are driven by factors beyond any single sovereign's reach. What governments can shape is the preparation that determines whether engagement is a coherent presentation of a credibly-managed economy or a reactive scramble under pressure.

For African policymakers, this has a practical implication that cuts against common instincts. When resources are constrained and preparation competes with urgent operational demands, the temptation is to treat preparation as the discretionary element — the thing that can be compressed when other priorities press. The analysis in this chapter suggests the opposite: preparation is the element with the highest leverage on engagement quality, and compressing it typically costs more than the operational demands that displaced it. Protecting preparation capacity, even when it competes with immediate operational pressures, is among the most consequential choices governments make in their relationship with rating agencies.

Chapter 5
Navigating Ratings Engagement (During and After the Process)

Chapter 5 at a Glance

Core message

The during-and-after phase of ratings engagement places distinctive demands on governments — compressed timelines, multiple audiences, and expectation gaps that play out in public rather than in private. Preparation settles the analytical substance; this phase tests judgment, coordination discipline, and communication quality under pressure. How governments conduct themselves during and after announcements shapes relationship capital that compounds across rating cycles.

Key takeaways

Establish response protocols before you need them — procedures for who clears what, who communicates to whom, and who signs off on public statements must be in place before the phase begins, not improvised under pressure.

Respond substantively, not defensively, to unexpected rating outcomes — substantive engagement with the analytical reasoning preserves credibility; public disputes over methodology compound the original problem.

Treat the post-announcement window as the opening of the next cycle, not the conclusion of the current one — sustaining engagement through this window builds momentum that governments which disengage must rebuild from scratch.

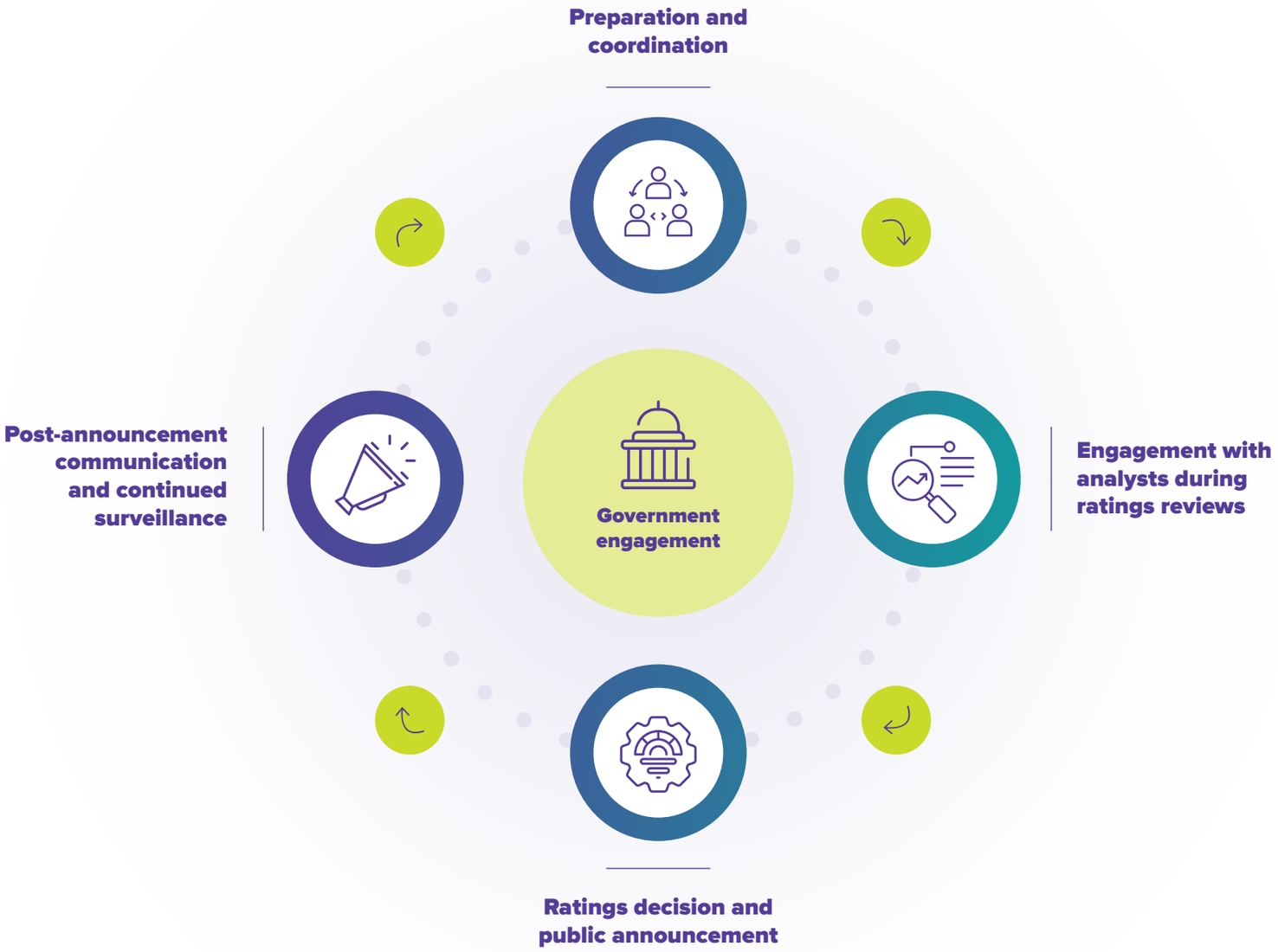
What to avoid: Do not contest rating outcomes through public statements challenging methodology or the agency's judgment — markets read defensive responses as evidence that the rating surprised the government, which compounds the credibility cost of the announcement itself.

Chapter 4 argued that preparation is the dimension of ratings engagement most under government control. This chapter examines what happens when preparation meets the engagement moment itself — the analytical discussions, committee deliberations, draft review windows, and public announcements that constitute the during-and-after phase of ratings engagement. Where preparation unfolds largely in private, this phase plays out in public: analysts are actively evaluating, markets are watching for signals, and every communication choice the government makes is visible to audiences interpreting sovereign risk in real time.

This phase has a distinctive operational character. Compressed response windows replace extended preparation timelines. Multiple audiences — analysts, committees, investors, media, domestic constituents — receive the same signals and interpret them differently. Communication choices made within hours of a rating announcement can shape how the decision is understood for weeks afterward. Even well-prepared governments find the during-and-after phase demanding, because the demands are fundamentally different from those of preparation: less about analytical substance (which preparation has largely settled) and more about judgment, coordination, and communication discipline under pressure (Swann 2026, ACRI working paper; N'Sondé 2026, ACRI working paper).

This chapter examines what effective navigation looks like. Section I identifies the specific operational and communication challenges that emerge during and after reviews. Section II situates these challenges within the broader market and information environment in which ratings announcements land. Section III offers practical guidance for managing the phase effectively. Section IV returns to the engagement relationship, examining how conduct during this phase shapes the analyst relationship going forward.

Figure 4 Sovereign Credit Ratings Engagement Cycle

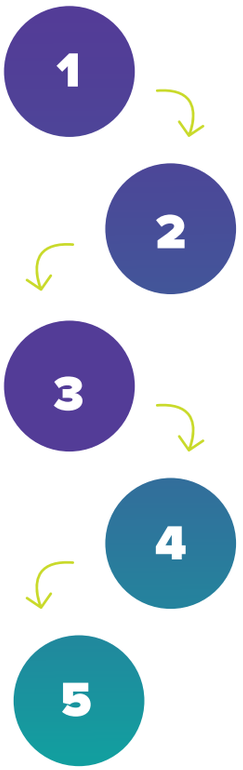


The Sovereign Credit Ratings Engagement Cycle graphic illustrates the cycle of sovereign credit ratings engagement →

Governments typically move through several stages when interacting with credit rating agencies. Preparation begins well before formal reviews and includes internal coordination, data readiness, and policy communication. During ratings engagement, government officials meet with agency analysts to explain economic developments and policy priorities. Ratings committees then determine the final rating outcome, which is released publicly. After ratings announcements, governments often communicate with investors and markets to explain the implications of the decision. Because sovereign issuers remain under continuous surveillance, this process repeats over time. Viewing ratings engagement as a continuous cycle helps governments strengthen institutional readiness and manage communication more effectively.

Stages of the During-and-After Phase

Once formal engagement begins, the process moves through several operational stages with distinct demands on government:



Analyst engagement. Analysts request additional information, clarify economic developments, and test policy explanations. Response windows are typically days, occasionally hours.

Committee deliberation. Analysts present findings to a ratings committee, which deliberates in confidence and reaches an independent decision. Governments have no role at this stage.

Draft review window. The government receives the draft announcement for factual review — typically a few hours, rarely longer — before publication. Review is limited to factual accuracy, not substantive disagreement.

Post-announcement communication. Government communication in the hours and days following the announcement shapes how the decision is interpreted by investors, domestic audiences, and future rating cycles.

Public announcement. The rating decision and accompanying report are released publicly. Markets, media, and analysts respond in real time.

Each stage has distinct demands — and distinct consequences when handled poorly.

I WHAT IS THE **PROBLEM?**

The challenges of the during-and-after phase differ in kind from those of preparation. Preparation tests analytical depth, coordination quality, and narrative coherence — but it does so largely in private, with errors recoverable before external audiences see them. The during-and-after phase tests the same capacities under public scrutiny and compressed timelines, and the errors that emerge are often visible before they can be corrected. Three specific challenges recur.

The first challenge is visibility →

Coordination problems that would have been quietly reconciled in preparation become externally visible during engagement. When officials from different institutions present policy developments inconsistently during analyst discussions, the inconsistency is registered. When draft review feedback reveals internal disagreement about factual content, that

disagreement becomes part of the analyst's information environment. When post-announcement communication contradicts what officials said during engagement, markets and analysts notice. The public dimension of the phase means coordination failures are not just operational problems — they are signals about institutional capacity that affect both the immediate rating cycle and subsequent ones.

The second challenge is audience multiplication →

Preparation has essentially one audience: the analyst team. The during-and-after phase has many — analysts continuing their assessment, committees making decisions, investors pricing sovereign debt, financial media covering announcements, domestic political constituencies reacting to rating outcomes, legislators responding to the public framing. These audiences are not interchangeable. A framing that reassures analysts may alarm domestic constituents; a communication calibrated for market stability may read as complacent to legislators pressing on debt sustainability. Navigating this phase requires communicating in ways that serve multiple interpretations simultaneously — with the recognition that which framings work and which do not often only becomes clear in real time.

The third challenge is the expectation gap at the point of announcement →

A recurring feature of ratings engagement is the expectation gap at the point of announcement — where the forward-looking lens of the rating committee diverges from expectations shaped by recent economic performance, reform progress, or policy commitments. Rating committees, evaluating forward-looking risk and policy durability, may reach different conclusions — producing announcements that diverge from government expectations (N'Sondé 2026, ACRI working paper). When this happens, the divergence becomes visible to external audiences at the moment of announcement, and the government's communication response shapes whether the divergence is interpreted as a normal feature of forward-looking assessment or as evidence of a deeper problem with policy credibility. Communication choices made in the hours following an unexpected rating announcement can shape market and domestic interpretation for weeks afterward — and those choices are made under precisely the time and political pressure that make good judgment hardest.

These three challenges compound →

A coordination problem that becomes publicly visible, reaches multiple audiences with different reference points, and unfolds under the pressure of an expectation gap tends to produce the worst outcomes of the during-and-after phase — outcomes that can be materially worse than the underlying rating decision would have warranted. Effective navigation requires treating this phase as distinctive from preparation, with its own operational disciplines.

II WHAT IS THE **DEVELOPMENT CONTEXT?**

The during-and-after phase plays out within a broader information environment shaped by financial markets, media coverage, and domestic political audiences. Understanding this environment is essential for navigating the phase effectively — particularly for African sovereigns, where the context has distinctive features that shape what announcements actually do.

Markets have typically priced the rating outcome before it is announced. Financial markets incorporate a wide range

of information continuously, including economic data, policy developments, and communications from government officials. By the time a rating announcement occurs, markets have usually already moved on the underlying developments — pricing in expected downgrades, upgrades, or stability in the weeks or months beforehand (Dalrymple 2026, ACRI working paper; de Saint-Marcq 2026, ACRI working paper). This has a specific implication for during-and-after navigation: the rating announcement itself is often confirmation rather than news, and market reactions reflect the gap between what the announcement delivers and what markets had already priced, not the rating level in absolute terms. Chapter 7 examines these dynamics in detail; the implication for Chapter 5 is that governments navigating announcements should calibrate expectations about market reactions to this confirmation dynamic rather than to the rating level itself.

Three features of the African information environment particularly shape the during-and-after phase.

First, investor bases for African sovereign debt are thinner and more concentrated than for many comparably-rated sovereigns in other regions →

A smaller number of investors holding larger positions means that individual investor reactions to announcements carry more weight, and market liquidity can deteriorate quickly when sentiment shifts. Communication aimed at market audiences during and after announcements matters disproportionately in this environment, because the audience that actually trades is narrow and attentive.

Second, ratings are politically visible in ways that can exceed their analytical significance →

In a number of African countries, rating announcements generate sustained media coverage, domestic political debate, and public reactions that can exceed their underlying credit-risk implications. Opposition parties, civil society, and financial commentators may interpret ratings through political rather than analytical frames. This creates a distinctive communication challenge during the phase: governments must explain ratings outcomes to domestic audiences whose frames of reference differ from those of the analysts who produced the rating.

Third, media interpretation of ratings tends to emphasize simple narratives over methodological nuance →

The headline rating — and particularly the direction of change — typically receives most coverage, with supporting analytical context treated as secondary. Forward-looking considerations, qualitative factors, and the cumulative nature of rating assessments — all central to how methodologies actually work — are often compressed or lost in media framing. Governments navigating the announcement phase must communicate in terms that serve both analyst audiences (for whom nuance matters) and media audiences (for whom nuance is often discarded).

Against this context, the operational demands of the during-and-after phase become clearer. Compressed timelines, multiple audiences, and expectation gaps are not only procedural challenges — they play out in an environment where market signals are already formed before announcements land, domestic political dynamics amplify rating events beyond their analytical weight, and media compression removes the nuance that accurate interpretation requires. What this implies for practical navigation is the subject of Section III.

III PRACTICAL TIPS FOR AFRICAN POLICYMAKERS

Chapter 5 has argued that the during-and-after phase places distinctive demands on governments — visibility, audience multiplication, and expectation gaps compounded by thin African investor bases, political attention, and media compression. Five practical principles support effective navigation of the phase.

1

Prepare leadership for outcomes that may diverge from expectations. Ministers and senior officials should enter the during-and-after phase understanding that rating committees may reach conclusions that differ from what recent performance or reform momentum seems to warrant. The expectation gap is a normal feature of forward-looking methodology, not evidence of analytical failure by the agency. Leadership prepared for this possibility is better positioned to communicate effectively when divergence occurs; leadership that is not prepared for it can compound the problem through reactive public communication.

2

Establish response protocols before you need them. Draft review windows, analyst follow-up requests, and post-announcement communication demands arrive with little warning and compressed timelines. Procedures for responding — who clears what, who communicates to whom, who signs off on public statements — need to be in place before the phase begins, not improvised under pressure. Protocols agreed in advance preserve judgment under pressure; protocols improvised in the moment tend to produce the inconsistencies that Section I identified as operationally costly.

3

Respond substantively, not defensively, to unexpected outcomes. When rating announcements diverge from expectations, the temptation is to contest the analytical basis publicly — through official statements that challenge the methodology, the rating level, or the agency's judgment. Overly defensive responses tend to compound the original problem. Markets read defensive responses as evidence that the rating surprised the government and that the government's assessment of its own position may be less reliable than previously assumed. Substantive responses — engaging with the analytical reasoning, acknowledging what the rating reflects, explaining how policy will address the concerns raised — tend to preserve credibility even when the underlying rating is unwelcome. The distinction that matters is between communicating about a rating and contesting it. Explaining to investors and domestic audiences what a downgrade means for financing plans, what the government's policy response will be, and how the rating fits the country's medium-term trajectory is necessary communication — and the post-announcement window is the right time for it. Publicly disputing the agency's analytical judgment, attacking the methodology, or implying the rating is illegitimate is contestation — and it tends to compound the damage. A government facing an adverse rating can be both fully transparent and non-defensive: acknowledging the decision, explaining its implications candidly, and setting out a credible response, without litigating the rating itself in public. The goal is to inform and reassure stakeholders, not to win an argument with the rating agency.

Substantive vs. Defensive Responses

The difference between responses that preserve engagement credibility and those that undermine it is visible in documented ACRI cases.



Defensive response
Unsuccessful appeal

A sovereign was downgraded after an Auditor General revised public debt upward by 40 percent of GDP. Officials requested an appeal, arguing that the audit reflected improved fiscal transparency and should be viewed positively. The appeal failed. Under rating agency rules, appeals must be based on new material information, factual misinterpretation, or inconsistency with methodology. Reframing a negative development did not meet these conditions.



Substantive response
Successful appeal

In a separate case, a sovereign was downgraded following international reports of severe damage from a natural disaster affecting its capital and main port. Within hours, officials submitted new, specific information: preliminary damage estimates below initial reports, plans to repurpose a nearby port within one week, an African Union–coordinated emergency response, and access to a hard-currency credit line backed by bilateral partners. The appeal committee convened the same day and left the rating unchanged, pending further information.

The distinction is not communication style but substance. Defensive responses rely on reinterpretation; effective responses provide verifiable new information within tight timelines. Governments that prepare for these moments—with delegated authority, pre-established templates, and contingency planning—are better positioned to sustain credibility in high-pressure engagement settings.

Source: Swann 2026, ACRI working paper (Scenarios 4 and 5, Appeal Committee Examples)

4

Communicate to multiple audiences with calibrated framings. Rating announcements reach analysts, investors, media, legislators, and domestic constituencies at once, and each interprets the same signals differently. Effective communication is not uniform messaging but calibrated framings for each audience — technical responses for analysts, measured statements for investors, accessible explanations for domestic audiences, substantive engagement with legislative oversight. With international investors in particular, messaging is read against a broader regional narrative: markets sometimes extrapolate one country's difficulties to the wider region, so clear, evidence-based communication — especially during market stress — helps distinguish a government's own position and limits spillover into how peers are priced.

5

Treat the post-announcement window as the start of the next cycle. Ratings are produced in cycles, and the weeks following an announcement are the period when analyst attention is highest, follow-up engagement is easiest to initiate, and foundation-setting for the next review begins. The post-announcement period is not an epilogue to the just-completed cycle — it is the opening of the next one. Sustaining engagement through this window — clarifying analytical questions raised during the review, updating on policy developments, documenting commitments made, and communicating the structural reforms, regional integration progress, and longer-term development priorities that support the country's forward credit trajectory — builds momentum into the next cycle; disengaging after announcements means restarting preparation from a weaker position.

Communication Discipline During Announcement Periods

Rating announcements attract attention from investors, media, and domestic audiences simultaneously. Four disciplines support effective communication in this window:



Single authoritative voice. Designate one official spokesperson for the announcement period, with other institutions aligned behind that voice rather than speaking independently.



Substantive engagement with the rating's reasoning. Acknowledge what the rating reflects; address the specific analytical concerns raised; avoid public disputes over methodology.

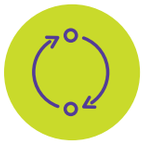


Forward-looking framing. Connect the announcement to medium-term policy priorities and reform direction rather than defending recent performance.



Calibrated messaging by audience. Technical clarity for analysts; measured confidence for investors; accessible explanation for domestic audiences; substantive responsiveness to legislative oversight.

Communication discipline during this window shapes how the rating is interpreted for weeks afterward — and how the next cycle begins.



IV ENGAGEMENT WITH CREDIT RATING AGENCIES

Chapter 4 Section IV examined what engagement feels like from the government side when preparation succeeds or fails. This section turns to a longer-horizon question: how conduct during the during-and-after phase shapes the analyst relationship over multiple rating cycles.

Preparation tends to be consistent within governments over time — institutional coordination improves gradually, analytical capacity accumulates slowly, data systems evolve at predictable pace. The during-and-after phase is different. It tests governments at the moments when judgment under pressure is most visible, and the choices made in these moments accumulate into relationship capital — or accumulate into relationship debt — that compounds across cycles.

A government that handles a difficult announcement well →

— acknowledging the rating's analytical basis, avoiding public disputes over methodology, engaging substantively with the concerns raised, sustaining analyst contact in the weeks afterward — enters the next cycle with relationship capital. Analysts remember which governments engaged professionally under pressure. Follow-up questions are answered with the assumption of good faith. Future difficult conversations, when they come, begin from a position of mutual respect rather than from suspicion. The substantive rating trajectory still depends on fundamentals, but the interpretation of those fundamentals benefits from the accumulated relationship.

Much of this capacity to handle difficult announcements well is built before the announcement arrives. A government engaging proactively will have identified its own potential question marks during preparation — the vulnerabilities, risks, and contested judgments most likely to concern a rating committee — and incorporated them into its narrative from the outset. When a government has acknowledged these risks openly and set out how it is managing them, the only genuine uncertainty at announcement is the weight the committee assigned to those mitigation efforts. A well-prepared government can therefore maintain the same narrative whatever the result, because that narrative already accounted for the possibility of a difficult outcome. Consistency of this kind is itself a signal of credibility: it demonstrates that the government's account of its own situation is candid rather than promotional, which strengthens analyst trust across cycles.

A government that handles a difficult announcement poorly →

— contesting the rating publicly, attacking the methodology, withdrawing from engagement in the aftermath, or sending mixed signals about cooperation — accumulates the opposite. Analysts remember these moments too, and remember them across personnel changes within the agency. Subsequent engagement begins from a weaker position, with analysts calibrating for defensiveness rather than for good-faith dialogue. The underlying fundamentals may still drive rating outcomes, but the interpretation of those fundamentals is now subject to a more skeptical framing that takes real effort to reverse.

The compounding is asymmetric →

Relationship capital accumulates slowly and can be eroded quickly; rebuilding takes consistent demonstration of professional conduct across multiple cycles. For governments that face difficult rating environments — debt distress, reform uncertainty, political transitions — this asymmetry matters particularly. The rating cycle does not reset after a difficult announcement; it carries forward the impression the announcement period produced.

The compounding works in the opposite direction as well →

Even when governments manage the technical aspects of difficult rating periods—completing restructuring negotiations, reaching creditor agreements, and implementing stabilization programs—rating normalization typically lags these procedural milestones.

Recent cases illustrate the pattern. Zambia concluded its restructuring negotiations in June 2024, but S&P did not lift the rating from selective default to CCC+ until November 2025, seventeen months later. Ghana reached preliminary agreement with private creditors in June 2024 and received a CCC+ rating in May 2025, eleven months later (Cash 2026, AfriCatalyst). These lags reflect the evidentiary standards rating committees apply to post-distress recovery—specifically, the need for demonstrated durability of stabilization, evidence of implementation, and confidence that underlying vulnerabilities have been addressed. The implication for engagement is clear: sustained, substantive engagement through the rating-lag window matters as much as engagement during the initial distress event. Disengaging after procedural milestones are reached leaves the interpretive work that shapes rating normalization unsupported — and the evidentiary record that committees require largely unbuilt.

For African policymakers, this implies that the during-and-after phase is not a discrete event to be survived but a recurring test in a long-term relationship (Swann 2026, ACRI working paper). The choices that matter most are often made in the hours and days around announcements, under precisely the conditions that make good judgment hardest. Where governments internalize this dynamic — preparing leadership for pressure, establishing protocols that preserve judgment under compression, treating post-announcement communication as relationship investment rather than damage control — the benefit tends to be assessment with greater continuity of context over time, even when the ratings themselves move with fundamentals.

Chapter 6
Understanding Ratings Methodologies and Non-Financial Factors

Chapter 6 at a Glance

Core message

Rating methodologies are neither formula nor guesswork — they are structured frameworks that apply analytical judgment under uncertainty, combining quantitative indicators with qualitative assessment and forward-looking interpretation. Policymakers who understand how methodology actually operates engage it productively; those who approach it as mechanical or arbitrary misdirect their preparation effort and arrive at the engagement with the wrong questions answered.

Key takeaways

Read methodology documents as the organizing framework for preparation, not as occasional reference material — methodologies specify what committees weigh, evolve over time, and should be tracked as they are updated.

Prepare deliberately for qualitative assessment, not just quantitative questions — institutional narratives, governance evidence, and reform implementation documentation are where much of the analytical differentiation between similarly-performing sovereigns is made.

Build data infrastructure as a ratings investment, not only as a governance improvement — reducing the information gaps that methodology fills with conservative judgment produces direct returns in how the sovereign is read.

What to avoid: Do not assume that strong quantitative performance will translate automatically into rating improvement — qualitative factors, governance indicator lags, and the forward-looking orientation of methodology mean that numbers alone rarely answer the questions committees are actually asking.

Chapters 1 through 5 have examined engagement with credit rating agencies — why it matters, how to organize for it, how the process works, how to prepare, and how to navigate the during-and-after phase. This chapter turns to the methodology that engagement is in service of: the analytical framework through which rating analysts actually evaluate sovereign credit risk, and which policymakers are ultimately being assessed by.

Understanding how rating methodologies work matters for a specific reason →

Much of what makes ratings contested — the sense that improvements don't translate into upgrades, that similar fundamentals produce different outcomes, that judgment sits uncomfortably alongside quantitative rigor — is rooted in methodology (Swann 2026, ACRI working paper). Policymakers who understand how methodologies combine economic indicators with forward-looking assessment, how qualitative factors enter the analytical frame, and where structured judgment is genuinely operating engage the ratings system more effectively than those who approach it as either a mechanical scoring exercise or an opaque black box.

Rating methodologies are neither formula nor guesswork →

They are structured frameworks designed to produce consistent assessments of credit risk under uncertainty — drawing on quantitative indicators, qualitative evaluations, comparative analysis against peers, and forward-looking judgment about policy durability and institutional resilience. Each element carries analytical weight; each element also leaves room for interpretation. The resulting assessments are neither purely objective nor arbitrary; they are judgments produced by a defined process, visible in

published methodologies, and calibrated through committee deliberation. Understanding what that process can and cannot do is essential for effective engagement.

This chapter examines how methodologies operate in practice. Section I identifies the specific misunderstandings policymakers bring to methodology — particularly the expectation that numerical improvements will produce proportional rating changes. Section II situates methodology within the African context, where data limitations, institutional histories, and governance-indicator dynamics shape how methodologies actually read African sovereigns. Section III offers practical guidance on engaging with methodology productively. Section IV returns to the engagement relationship, examining how methodology literacy reshapes what governments can realistically expect from engagement.



I WHAT IS THE **PROBLEM?**

Three common errors in how rating methodologies are read shape how engagement with the system is structured — and understanding them is the starting point for engaging methodology productively.

The first common error concerns what methodology can do →

Policymakers often approach methodology with one of two expectations, both of which are wrong. The first expectation is that methodology is essentially mechanical — a formula that processes inputs and produces outputs, such that stronger inputs should produce better outputs predictably. The second expectation is that methodology is essentially arbitrary — a veneer of rigor over what is really analyst judgment, such that engagement is about managing relationships rather than engaging substance. Methodology is neither of these. It is a structured framework for producing consistent judgments about credit risk under uncertainty, anchored in quantitative indicators but integrating qualitative assessment, comparative analysis, and forward-looking interpretation. Treating methodology as mechanical produces frustration when inputs don't translate into outputs; treating it as arbitrary misdirects effort into relationship management rather than substantive preparation. Engaging methodology as what it actually is — structured judgment — is the starting point for using it productively.

The second common error concerns qualitative factors →

Quantitative indicators (growth, debt, fiscal balance, external position) feel tangible; qualitative assessments (institutional strength, policy credibility, governance effectiveness) can feel softer, even suspicious. Qualitative factors are sometimes treated as secondary to the 'real' analysis, or unfavorable qualitative assessments interpreted as evidence of political bias rather than analytical judgment. Neither framing captures what qualitative factors actually do in methodology. They are not decorative overlays on quantitative analysis; they are where much of the meaningful differentiation between similarly-performing sovereigns is made. Two countries with identical debt ratios, growth rates, and fiscal balances can receive materially different ratings because their institutional frameworks, policy predictability, and governance environments differ — and these differences are real drivers of credit risk, not commentary on the numbers. Preparation concentrated on quantitative dimensions at the expense of qualitative ones — which Chapter 4 identified as a common preparation mismatch — can leave technical questions well-answered while the qualitative dimensions where rating judgments are actually made remain underprepared.

The third common error concerns methodology stability →

Rating methodologies are not fixed. Agencies periodically update them — adjusting weights, adding factors, shifting analytical emphasis in response to how sovereign risk environments have evolved. A methodology current in 2018

may have been substantially revised by 2024; preparation calibrated to the older version may miss analytical dimensions the revised version emphasizes. Engaging methodology as stable documentation rather than as an evolving framework can mean preparation is calibrated to a version of the analytical frame the agency has already revised. Methodology literacy is an ongoing discipline, not a one-time investment.

These three errors compound. Engaging methodology as mechanical, treating qualitative factors as soft, and assuming methodology is stable tends to produce preparation that addresses the wrong questions, engagement that misdirects effort, and expectations that diverge predictably from rating outcomes. The underlying issue is not analytical capacity — it is that capacity is being applied against an incorrect model of what methodology is doing.

What Methodology Looks Like — The S&P Five-Factor Framework

To make the "neither formula nor guesswork" characterization concrete, it helps to see how methodology is structured in practice. S&P Global's sovereign rating framework—publicly available and regularly updated—provides a useful illustration.

The framework evaluates five core factors, each scored on a six-point scale (1 = strongest, 6 = weakest), combining quantitative indicators with qualitative judgment:



Institutional assessment — governance effectiveness, policymaking institutions, transparency



Economic assessment — growth prospects, income levels, diversification



External assessment — external liquidity, debt sustainability, financing patterns



Fiscal assessment — fiscal flexibility, debt burden, contingent liabilities



Monetary assessment — monetary framework, exchange rate regime, financial stability

These factor scores combine into an indicative rating level, which can then be adjusted by up to one notch to reflect risks or strengths not fully captured in the scoring. This is where analytical judgment operates most visibly, as rating committees assess whether the model-based outcome adequately reflects overall risk. Peer comparison is also central to the process. Committee materials include fiscal and economic indicators for comparator countries in the same and adjacent rating categories, allowing analysts to assess relative positioning. This helps explain why countries with similar headline indicators may receive different ratings.

For policymakers, the implication is clear: effective engagement depends on understanding how each factor is assessed, how peer comparisons influence outcomes, and how to engage with published methodology documents. Ratings are neither purely mechanical nor opaque—they are structured assessments shaped by evidence and judgment.

Source: N'Sondé 2026, ACRI working paper (drawing on S&P Global Ratings' published sovereign methodology)

II WHAT IS THE **DEVELOPMENT CONTEXT?**

The three components of sovereign credit rating methodologies — quantitative indicators, qualitative assessments, and analytical judgment — can operate differently when applied to African sovereigns than to many of their peers. Understanding these differences is essential for engaging methodology realistically rather than expecting it to behave the same way it does for sovereigns with different data environments, institutional histories, and market positioning.

Figure 5 Components of Sovereign Credit Ratings Methodologies



1 Quantitative Indicators

- Economic growth
- Fiscal balances
- Debt levels
- External sector indicators

2 Forward-Looking Risk Assessment

- Economic resilience
- Vulnerability to shocks
- Sustainability of policies

3 Institutional and Policy Factors

- Policy credibility
- Institutional effectiveness
- Governance structures
- Policy predictability

The Components of Sovereign Credit Ratings Methodologies infographic illustrates the three features of the African context that shape how methodology reads the continent's sovereigns.

First, data environments produce measurement gaps that methodology fills with judgment →

Many African economies operate with limited visibility into informal sector activity, incomplete or delayed fiscal reporting, uneven quality of debt composition data, and GDP measurement that may understate actual economic activity. When quantitative indicators are less measurable, methodology relies more heavily on analyst judgment to interpret incomplete information — and judgment under information asymmetry tends toward conservative interpretation, because the cost of under-pricing risk is more consequential for the agency's clients than the cost of over-pricing it. Improving data quality and measurement infrastructure is therefore not only a matter of reporting better numbers; it is a matter of giving methodology more to work with than judgment under uncertainty.

Second, governance-indicator dynamics have distinctive effects on how African sovereigns are read →

Rating methodologies use quantitative proxies for institutional quality — Worldwide Governance Indicators, composite institutional indices, and similar measurements. These proxies have their own limitations, particularly for African countries. They tend to be backward-looking, slow to reflect institutional improvements that have occurred but not yet registered in survey data, and composed of inputs that may not capture how institutions actually function in practice. A government that has reformed its debt management capacity, strengthened its statistics office, or improved its fiscal transparency may not see these improvements reflected in governance indicators for several years — during which methodology will read the country as it appeared before the improvements took hold (Marcelle 2026, ACRI working paper). Policymakers who understand this lag engage methodology more effectively than those who expect institutional improvements to translate into governance-indicator movements on a reform timeline.

Third, track record accumulates asymmetrically across sovereigns with different market histories →

Methodology weights demonstrated track record heavily — evidence that a country's fiscal discipline, policy credibility, and institutional frameworks hold up across economic cycles and political transitions. African sovereigns with shorter histories of market access, fewer rating cycles, or more recent debt events have less track record for methodology to draw on, which affects how current performance is weighted. A country in its third rating cycle faces different methodology dynamics than a country in its tenth, independent of current fundamentals. This is a structural feature of how methodology operates under uncertainty — longer track record reduces the weight placed on judgment because there is more demonstrated history to draw from — and it means newer rated sovereigns face preparation demands their longer-rated peers do not.

These three features compound →

Data gaps push judgment to fill measurement space; governance indicators register institutional improvements with lag; short track record reduces the weight of current performance relative to demonstrated history. None of these dynamics reflects malice or bias — they are how methodology handles uncertainty, information asymmetry, and risk-weighting in a system built for consistent assessment across heterogeneous sovereigns. But they shape how methodology reads African sovereigns in ways policymakers should understand when engaging it.

Why Sovereign Credit Ratings Require Judgment

Sovereign credit ratings are often assumed to be purely objective or formula-based. In practice, they involve a significant degree of analytical judgment — and understanding why helps policymakers engage methodology realistically.

What makes judgment necessary:



Numerical indicators alone cannot capture sovereign risk. Assessing creditworthiness requires evaluating how policies are implemented, how institutions respond to shocks, and whether economic improvements are likely to be sustained.



Quantitative and qualitative inputs do not sum mechanically. Analysts and ratings committees must interpret how different factors interact and how risks may evolve over time.



Forward-looking assessment requires interpretation. Track record, policy durability, and institutional resilience cannot be calculated from current indicators alone.

What this means in practice:



Judgment is a feature, not a flaw — an inherent element of sovereign risk assessment under uncertainty.



It introduces structured subjectivity — different analysts or committees may reasonably weigh risks differently based on available information.



Perceptions of bias often reflect differences in interpretation, not technical inconsistencies in methodology.

The practical implication for policymakers:

Improving data quality, policy clarity, and consistency of communication helps ensure sovereign risk is interpreted as accurately as possible within this judgment-based framework.

III PRACTICAL TIPS FOR AFRICAN POLICYMAKERS

Chapter 6 has examined how methodology operates and how its dynamics play out in African contexts. Seven practical principles support engaging methodology productively — addressing the common errors identified in Section I and the African context features identified in Section II:

1

Read methodology documents as the starting point, not as reference material. Rating agencies publish detailed methodologies specifying what indicators matter, how qualitative factors are weighted, and what forward-looking concerns committees prioritize. Most governments treat these documents as reference material consulted occasionally. Effective methodology engagement uses them as the organizing framework for preparation itself — structuring analytical materials around methodology dimensions, tracking methodology updates as they are published, and ensuring the government's own analytical frame matches the one the agency will apply. Methodologies evolve; governments whose engagement is calibrated to older versions are engaging against the wrong framework.

2

Prepare deliberately for qualitative assessment, not just quantitative questions. The temptation in preparation is to concentrate on quantitative indicators — growth, debt, fiscal balances — where analysis feels concrete and arguments feel defensible. Qualitative preparation requires different work — developing institutional narratives that explain how policy decisions are actually made, assembling evidence of governance function beyond what headline indicators capture, and constructing coherent explanations of reform implementation rather than just reform announcement. Qualitative preparation is harder because the evidence is harder to organize, but it is where much of the analytical differentiation between similarly-performing sovereigns actually happens.

3

Engage the forward-looking dimension of methodology with structural evidence. Because methodology weighs forward-looking and qualitative factors alongside current macroeconomic performance, there is room to inform how analysts assess long-term creditworthiness. Bringing evidence on the structural fundamentals that shape a country's trajectory — demographic trends, regional market integration, productive transformation, and progress on diversification and industrialization under Agenda 2063 — engages the part of methodology where these factors carry weight but are not always fully captured by headline indicators.

4

Build the data infrastructure that gives methodology something to work with. When quantitative indicators are less measurable — because of informal sector size, incomplete fiscal reporting, or delayed statistics — methodology fills the gap with judgment, and judgment under information asymmetry tends to be conservative. Investment in statistical capacity, fiscal transparency, and debt-data visibility is not only a reporting improvement; it is a methodology investment that reduces the analytical space where conservative judgment operates. Treating data infrastructure as a sovereign ratings investment — not only as a domestic governance

good — captures returns through how methodology reads the sovereign. This framing also provides a concrete rationale for requesting dedicated international technical support, positioned not as general capacity building but as investment in the data foundation that rating methodology requires (Benard 2026, ACRI working paper; Swann 2026, ACRI working paper).

5

Document institutional improvements before governance indicators reflect them. Governance indicators (Worldwide Governance Indicators and similar composite indices) are backward-looking and slow to register institutional reforms — often lagging actual improvements by several years. Governments that have reformed institutional functions faster than third-party indicators have caught up should document those reforms explicitly, with specific evidence of what has changed, how it now operates, and what results have followed. This qualitative documentation gives analysts something to draw on during the lag period, rather than leaving methodology to read the country through stale indicator inputs. Regular domestic reporting against national strategies provides a ready vehicle for this: progress reports that track delivery against stated commitments give analysts a current, evidence-based account of institutional reform precisely where third-party indicators lag.

6

Recognize that track record compounds non-linearly. Methodology weights demonstrated track record heavily — and the weight placed on current performance versus track record shifts as track record accumulates. For newer-rated sovereigns, consistency now pays disproportionate returns later; maintaining predictability through transitions, protecting fiscal rules from political pressure, and avoiding idiosyncratic policy actions builds the track record that future rating cycles will draw on. For longer-rated sovereigns, the asymmetry runs the other way — accumulated track record is an asset that can be drawn down quickly by discontinuity, and protecting it is worth real political cost.

7

Understand that different investors respond to rating signals differently — and engage accordingly. Rating signals do not reach all investors the same way. Institutional investors operating under rating-based mandates — including pension funds, insurance companies, many sovereign wealth funds — face hard constraints at rating thresholds. A downgrade below investment grade can trigger forced sales, index exclusions, and abrupt contractions in the eligible investor base, independently of any new information about fundamentals that has emerged (de Saint-Marcq 2026, ACRI working paper). Other investors — including dedicated emerging-market and frontier-market funds — hold longer investment horizons and make decisions based on trajectory and credibility rather than threshold compliance.

The composition of a sovereign's investor base therefore shapes how rating actions transmit into borrowing conditions, and engagement strategies should reflect this. Governments seeking to reduce vulnerability to rating-triggered market disruptions can work toward broadening their investor base beyond mandate-constrained funds — through non-deal roadshows, investor diversification programs, and regional capital market development — which reduces the mechanical amplification of rating signals when they move (Dalrymple 2026, ACRI working paper; de Saint-Marcq 2026, ACRI working paper).



IV ENGAGEMENT WITH CREDIT RATING AGENCIES

Chapter 6 has examined how methodology works and how it reads African sovereigns in practice. This section returns to engagement with the question of what methodology literacy changes about what engagement is for.

Without methodology literacy, engagement tends toward two common errors.

The first is treating engagement as a channel to influence rating outcomes →

— making the case for why the sovereign deserves better treatment, arguing against methodology decisions, or escalating through senior-level meetings when analyst-level engagement has not produced desired results. This error misreads methodology as something that can be negotiated rather than something being applied.

The second is dismissing engagement as futile on the grounds that outcomes are determined elsewhere →

— by data, by global market conditions, or by agency bias beyond the sovereign's reach. This error misreads methodology as fully determined by inputs the government cannot influence, when in practice methodology operates in an information environment that engagement directly shapes.

Methodology literacy corrects both errors by clarifying what engagement actually does. Rating methodologies combine quantitative indicators, qualitative assessment, and forward-looking judgment under uncertainty. Analysts therefore make interpretive decisions at several points: how to read incomplete data, how to weigh governance indicators against observed institutional performance, how to assess policy durability, and how to interpret reform trajectories when evidence is mixed. At each of these points, the information available to analysts shapes the interpretation they produce — and engagement is the primary mechanism through which governments shape that information.

This is a more specific and more tractable framing of engagement than either "influencing outcomes" or "accepting what the system delivers." It names engagement's actual leverage: not the ability to change how methodology works, but the ability to ensure it is applied against the best available understanding of the sovereign's fundamentals, institutions, and policy trajectory. A government engaging with methodology literacy prepares for the specific qualitative questions methodology asks, documents the specific institutional dynamics governance indicators miss, and explains the specific policy logics that forward-looking judgment requires. A government engaging without methodology literacy may prepare competently but addresses the wrong questions — responding to concerns methodology has moved past, or leaving untouched the dimensions where analyst judgment has most room to operate.

For African sovereigns specifically, methodology literacy has particular leverage →

The African context features identified in Section II — data environments that push methodology toward judgment, governance indicators that lag institutional reality, track records that compound non-linearly — all widen the space where the information governments provide directly shapes the assessment analysts produce. Where methodology has more uncertainty to resolve through judgment, the information governments provide weighs more heavily in the assessment that results. This makes methodology literacy not an academic exercise but an operational investment: the return on understanding methodology is higher in the contexts where African sovereigns are assessed than in contexts where data is abundant, institutional measurement is stable, and track record is long.

Building Credibility Through Structured Engagement



Experience across countries shows that how governments manage engagement with credit rating agencies can influence how sovereign risk is assessed.

For example, South Africa has institutionalized engagement through a dedicated credit rating liaison function within the National Treasury, responsible for coordinating interactions with agencies, compiling economic and fiscal data, and communicating policy reforms and medium-term strategies. This helps ensure consistent, timely, and coherent information across government.



A key feature of this approach is continuous engagement — authorities maintain regular communication, provide updates on policy developments, and monitor agency feedback, rather than interacting only around rating reviews or borrowing operations.



By contrast, fragmented or inconsistent engagement can lead to more cautious assessments, particularly when agencies face uncertainty about data quality or policy credibility.



The practical lesson: structured engagement gives methodology better information to work with — and where methodology operates under uncertainty, better information produces more accurate assessment.

Sources: UNDP (2025); Benard 2026, ACRI working paper

Chapter 7
Do Credit Ratings Influence the Cost of Capital?

Chapter 7 at a Glance

Core message

The relationship between credit ratings and borrowing costs is regime-sensitive, not mechanical — the same rating action can produce very different market responses depending on market conditions, investor composition, and country-specific dynamics. Rating engagement shapes borrowing costs through specific channels and within structural limits; it is one tool among several, and its returns are highest when combined with direct market communication, commodity risk management, and policy credibility.

Key takeaways

Interpret borrowing-cost movements regime-sensitively — read the market conditions first, then the rating action, to avoid misdiagnosing what is actually driving yield movements.

Decompose persistent cost gaps against similarly-rated peers into specific drivers — commodity exposure, market access history, communication consistency, information quality — rather than attributing them to a single structural premium.

Integrate rating engagement into a broader toolkit alongside direct investor communication, commodity risk management, data infrastructure, and policy credibility — each shapes borrowing costs through channels that engagement with rating agencies alone does not reach.

What to avoid: Do not treat rating engagement as the primary lever for managing borrowing costs — its effect is real but indirect, operates within structural limits that fundamentals determine, and is substantially weaker when pursued in isolation than when combined with the broader toolkit.

Chapter 6 examined how rating methodologies produce assessments of sovereign credit risk. This chapter turns to what those assessments do once they enter financial markets — specifically, how they influence the cost of capital for African sovereigns borrowing on international markets, and under what conditions that influence is strongest or weakest.

The relationship between ratings and borrowing costs is widely discussed but often misunderstood →

A common framing treats ratings as direct price-setters — an upgrade reduces yields, a downgrade raises them. The actual relationship is more specific and more variable. Financial markets price sovereign debt continuously, drawing on a wide range of information that includes ratings but extends well beyond them: global interest rate conditions, investor risk appetite, country-specific fundamentals, market depth, and investor composition all shape borrowing costs alongside rating signals. Ratings influence markets primarily through the investor perceptions they help shape, through the rating-based mandates that determine which investors can hold particular sovereigns, and through the information they provide about how risk is being assessed by specialized analysts (Dalrymple 2026, ACRI working paper; de Saint-Marcq 2026, ACRI working paper). These channels vary in strength across market conditions, rating categories, and country-specific contexts — which means the relationship between ratings and borrowing costs is better understood as regime-sensitive than as a constant.

This chapter examines the relationship in detail. Section I identifies specific misunderstandings that policymakers commonly bring to the ratings-costs relationship. Section

II situates the relationship within the African development context, where market depth, investor composition, and commodity sensitivity shape how ratings signals translate into actual borrowing conditions. Section III offers practical guidance for interpreting ratings-market dynamics in real time. Section IV examines what this relationship implies for how governments should think about engagement with rating agencies as a tool for influencing borrowing costs — and what engagement can and cannot achieve.



I WHAT IS THE **PROBLEM?**

Chapter 1 established that economic fundamentals, credit ratings, and market prices are distinct but connected elements. This chapter's specific focus is on the relationship between ratings and market prices — and on the three common misunderstandings of that relationship that produce systematic misreadings of borrowing cost dynamics.

The first treats ratings as direct determinants of borrowing costs →

— expecting that an upgrade will produce a proportional reduction in yields and a downgrade a proportional increase. In practice, markets price sovereign debt continuously based on many inputs. Yields frequently move ahead of rating actions, sometimes by substantial margins, as investors incorporate new information that rating committees will only later confirm. They also sometimes move in the opposite direction to what a rating action suggests, when broader market conditions (global interest rates, risk appetite, liquidity dynamics) dominate country-specific signals. Rating actions themselves often confirm pricing that markets have already established rather than initiating new pricing. Evidence across African sovereigns shows a specific asymmetry in how markets respond: downgrades produce sharper and more persistent spread effects than upgrades do, with rating cuts often amplifying existing market concerns more than rating improvements compress them (Dalrymple 2026, ACRI working paper).

The second misunderstanding treats borrowing cost differences between similarly-rated sovereigns as evidence of bias or unexplained premium →

When two B-rated sovereigns face meaningfully different borrowing costs, the difference is often attributed to opaque market preferences or structural disadvantages. In practice, the differences are typically explained by identifiable factors operating alongside the rating — commodity exposure, investor base composition, market access history, policy credibility, information quality — each of which investors price into yields. Attributing the full difference to rating-related premium both overclaims against the ratings system and underdiagnoses the specific dynamics governments could address to narrow cost gaps with peers.

The third misunderstanding treats the ratings-costs relationship as stable across market conditions →

The strength of the connection between ratings and borrowing costs varies systematically. During periods of market stress, rating-based mandates and investor risk aversion tighten the link; during stable periods, market depth and diverse investor participation loosen it. Around investment-grade thresholds, the link is particularly sharp because many institutional investors face mandate-driven constraints; within speculative-grade categories, ratings still matter but many other factors weigh more heavily. Treating the ratings-costs relationship as constant across conditions means misreading vulnerabilities during stress and missing their opportunities during normal periods.

These three misunderstandings compound →

Together they produce an oversimplified model of the ratings-costs relationship — one that overstates the directness of the connection, underspecifies the channels through which ratings actually operate, and misses the regime-sensitivity that determines when ratings matter most. The callouts that follow develop both the analytical frame and a concrete application.

Why Countries with Similar Ratings Can Face Different Borrowing Costs

When countries with similar credit ratings face different borrowing costs, the differences typically reflect specific factors operating alongside the rating:



Risk concentration and exposure. Commodity dependence, narrow export bases, or concentrated revenue sources create vulnerabilities investors price differently even at the same rating level.



Policy credibility and reform momentum. Markets respond not only to current conditions but to how credible and sustained policy improvements appear over time.



Market access and investor base. More frequent issuance, broader investor participation, and familiarity with the sovereign generally produce stronger demand and tighter spreads.

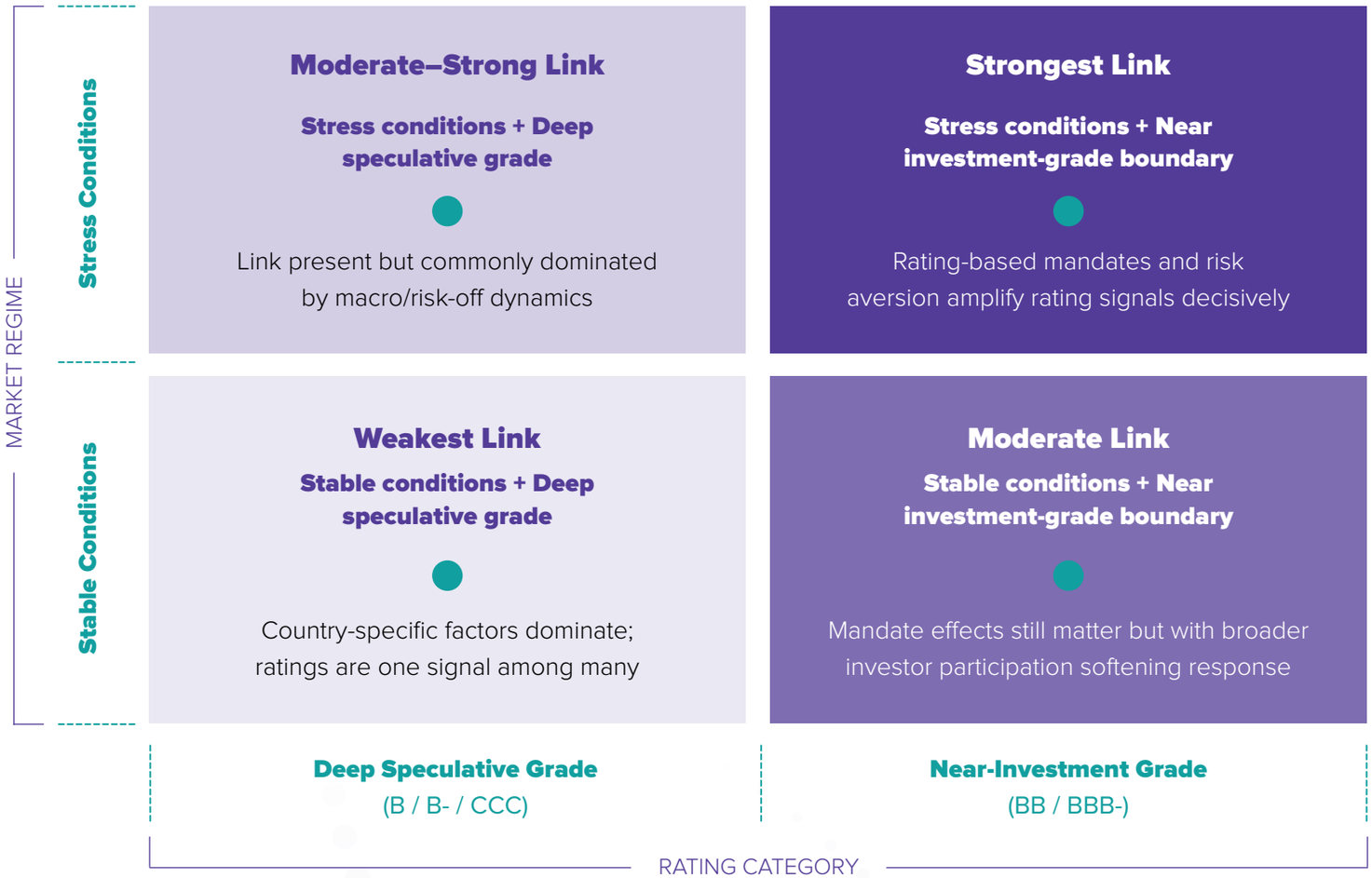


Information quality and communication. Where data, policy signals, or institutional messaging are less clear, investors require a premium to compensate for uncertainty.

The practical implication: ratings provide a standardized risk signal, but market pricing reflects how that risk is interpreted given country-specific conditions that investors weigh alongside the rating.

These four factors help explain why the relationship between ratings and borrowing costs varies significantly across sovereigns and market conditions. The How the Strength of the Ratings-Borrowing Costs Relationship Varies infographic illustrates how this variation operates structurally. The strongest connection between ratings and yields appears around the investment-grade threshold during periods of market stress, when rating-based investor mandates and heightened risk aversion amplify the weight of rating signals. The connection loosens in stable market conditions, at deeper speculative-grade levels, and where country-specific factors dominate investor perception. Understanding where along this matrix a sovereign sits — and how that position can shift over time — helps policymakers interpret market reactions to rating actions and calibrate expectations about what rating engagement can and cannot achieve.

Figure 6 How the Strength of the Ratings-Borrowing Costs Relationship Varies



Within each cell, country-specific factors — commodity exposure, policy credibility, market access, and information quality — further shape how rating signals translate into actual borrowing costs.

Source: Author's synthesis based on Dalrymple (2026) and de Saint-Marcq (2026), ACRI working papers.

The case below applies this analytical frame to a specific 2026 comparison, illustrating how two similarly-rated sovereigns faced different borrowing conditions driven by identifiable country-specific dynamics.

Same Rating, Different Borrowing Costs – Angola and Ecuador (2026)

In 2026, both Ecuador and Angola returned to international capital markets with Eurobond issuances, providing a useful illustration of how countries with similar credit ratings can face different financing conditions.

Both countries were rated in the B- category by major agencies (Fitch and S&P), yet their borrowing outcomes diverged significantly. Ecuador issued approximately USD 4 billion across longer maturities (8 and 13 years), while Angola raised USD 2.5 billion at shorter tenors (7 and 11 years), with both countries using proceeds in part for liability management operations.

Despite comparable ratings, Ecuador issued at lower coupons (8.75–9.25 percent), while Angola paid higher coupons (9.25–9.8 percent)—a difference of up to 100 basis points. Ecuador also attracted stronger investor demand, with order books around four times oversubscribed, compared to roughly two times for Angola. Under typical conditions, shorter maturities are associated with lower borrowing costs. However, Angola issued at higher rates despite shorter tenors, suggesting that investors required a premium to compensate for oil price volatility and external risks.

Ecuador's operation signals improving policy credibility and stronger anchoring of macroeconomic reforms, enabling access to longer maturities and tighter spreads. Angola's issuance reflects continued exposure to commodity price cycles — particularly oil — which shapes both investor appetite and the maturity structure available.

The case illustrates the four-factor frame above: similar ratings, different costs, driven by identifiable dynamics investors are pricing alongside the rating signals themselves.

Source: ACRI analysis based on 2026 Eurobond issuances (Ecuador and Angola)

The reverse pattern — favorable pricing at speculative-grade rating levels — is equally illustrative. Côte d'Ivoire's market experience between 2020 and 2024 illustrates how country-specific credibility factors can compress borrowing costs in ways that the headline rating alone does not predict.

Favorable Pricing Below Investment Grade — Côte d'Ivoire

Sovereign ratings do not mechanically determine borrowing costs in either direction. Côte d'Ivoire's experience shows that speculative-grade ratings can be compatible with favorable market pricing when investor confidence is strong.

Between 2020 and 2024, Côte d'Ivoire's USD Eurobond spreads generally ranged between 300 and 500 basis points, at times trading closer to lower investment-grade peers than to similarly rated sovereigns.

Favorable Pricing Below Investment Grade — Côte d'Ivoire continued

The country maintained consistent market access, including a EUR-denominated issuance in 2021 at relatively low yields (4.30%), a $2.6 billion oversubscribed issuance in January 2024, and a $1.75 billion issuance in March 2025 under conditions consistent with stable market access rather than distress.

Over this period, Côte d'Ivoire's ratings remained below investment grade, with upgrades to the BB category by S&P and Fitch in 2024–2025, while Moody's maintained a stable Ba2 rating.

This favorable pricing reflects a combination of factors: a strong repayment track record, predictable macroeconomic policies, WAEMU membership providing exchange-rate stability, and active liability management that reduced refinancing risk. Côte d'Ivoire also signaled its borrowing intentions to the market proactively and linked them to a credible development strategy — its January 2024 issuance included a sustainability tranche tied to the social and green framework the country published in September 2023 in support of the Sustainable Development Goals, connecting external borrowing explicitly to the priorities of its National Development Plan and pairing new issuance with concurrent liability management.

The implication is that below investment grade, borrowing costs are shaped not only by ratings, but also by credibility, policy continuity, investor confidence and how clearly a government links its financing strategy to its development priorities. Where these are strong, pricing can remain favorable even without investment-grade status.

Sources: de Saint-Marcq 2026, ACRI working paper; transaction details from Côte d'Ivoire's January 2024 sovereign bond offering (issuer and market disclosures).



II

WHAT IS THE **DEVELOPMENT CONTEXT?**

The three misunderstandings identified in Section I play out against a specifically African development context that shapes how rating signals translate into actual borrowing conditions. Three features of that context are particularly consequential for understanding the ratings-costs relationship.

First, investor bases for African sovereign Eurobond debt are narrower and more concentrated than for many comparably-rated sovereigns in other regions →

Emerging market specialist funds, crossover investors with mandate flexibility, and a smaller number of large institutional holders account for a substantial share of demand — generalist institutional participation remains more limited, and retail investor exposure is largely absent. This concentration has two consequences for how ratings translate into pricing. It means rating signals carry relatively more weight, because fewer participants are discounting them with independent country-specific analysis. And it means liquidity conditions can deteriorate rapidly when sentiment shifts, because the

investor base that would absorb selling pressure in deeper markets is less present. Rating signals therefore land with amplified weight in African sovereign markets, particularly around stress periods when concentrated investor bases move in similar directions.

Second, commodity exposure and external-account sensitivity shape how ratings-costs dynamics operate for many African sovereigns →

A significant share of African Eurobond issuers are economies whose fiscal and external positions depend materially on commodity prices, concentrated export categories, or narrow revenue bases. For these sovereigns, market pricing integrates commodity dynamics directly — sometimes amplifying rating-related effects (during commodity downturns, when deteriorating fundamentals and rating action pressure compound each other) and sometimes decoupling them (when commodity dynamics dominate credit considerations and markets price on oil or copper forecasts more than on rating differentials). The Angola case in Section I illustrates this concretely: despite similar ratings to Ecuador, Angola's pricing reflected a commodity-risk premium investors applied to its specific exposure profile (Dalrymple 2026, ACRI working paper; de Saint-Marcq 2026, ACRI working paper). In addition, Kenya and Nigeria illustrate a related but distinct dynamic — persistent borrowing-cost elevation driven by refinancing risk and FX constraints rather than commodity sensitivity, with rating outlook revisions producing limited immediate pricing impact during these episodes (de Saint-Marcq 2026). Navigating these dynamics requires reading market signals through both rating and commodity lenses simultaneously.

Third, market access histories vary significantly across African sovereigns, producing heterogeneous pricing responses to similar rating signals →

Some countries have issued Eurobonds consistently for fifteen years or more and developed stable investor relationships — South Africa, Nigeria, Ghana, Côte d'Ivoire each have different but established market positions. Others are newer issuers whose investor base is still forming, with less accumulated market credibility to draw on during difficult periods. Still others have experienced debt distress events — Ghana, Zambia, Ethiopia — that reshape how investors read subsequent rating signals and pricing. These different starting points mean the same rating category can produce meaningfully different pricing outcomes across African sovereigns, not because the ratings themselves vary but because the market context into which they land varies. Track record of market engagement is itself a pricing factor that operates alongside the rating.

These three features compound →

A narrow investor base, amplified exposure to commodity and external dynamics, and varied market access histories mean that rating actions do tend to move African sovereign borrowing costs in the expected direction — but by how much depends heavily on country-specific context that the rating alone does not capture. Understanding this context is essential for interpreting borrowing cost dynamics accurately, and for engaging rating agencies productively about what rating signals actually do in African markets.

III PRACTICAL TIPS FOR AFRICAN POLICYMAKERS

Chapter 7 has argued that the ratings-borrowing costs relationship is regime-sensitive, shaped by specific channels, and operates differently for African sovereigns given investor base concentration, commodity sensitivity, and heterogeneous market access histories. Six practical principles follow for interpreting and navigating this relationship.

1

Read borrowing-cost movements regime-sensitively. The same rating action can produce very different market responses depending on conditions at the time. During periods of market stress, rating actions carry amplified weight as risk-averse investors and mandate-driven constraints tighten the rating-yield link. During stable periods, the link is looser and country-specific dynamics dominate. Interpreting a market reaction requires reading the regime first, not just the rating action. Governments that assume the same ratings-costs relationship operates across all conditions misdiagnose both market signals during stress and engagement opportunities during stable periods.

2

Decompose cost gaps rather than attribute them. When peer sovereigns at similar rating levels face tighter borrowing costs, the differences are rarely explained by a single rating-related premium. More typically, they reflect identifiable country-specific dynamics — commodity exposure, market access history, communication consistency, information quality — each contributing independently to pricing. Diagnosing specific drivers enables specific responses; attributing gaps to opaque premium does not. Persistent cost differentials versus similarly-rated peers are better addressed through systematic decomposition of specific drivers than through conclusions that the gap is structural or unexplained.

3

Address commodity and external sensitivity as pricing variables. For sovereigns whose economies depend materially on commodity revenues or narrow external positions, market pricing integrates commodity dynamics alongside rating signals — sometimes amplifying rating-related effects, sometimes decoupling from them. Commodity-specific policy choices are also borrowing-cost decisions: fiscal frameworks that manage commodity volatility, reserve adequacy policies, hedging strategies, and clear communication about commodity exposure all shape how investors price sovereign risk. Engagement with rating agencies on commodity-related fundamentals is important, but so is direct engagement with markets on how commodity risk is being managed.

4

Build market access incrementally and protect it deliberately. Market access is not a binary status — it accumulates through consistent engagement, predictable issuance patterns, and the investor relationships built over multiple cycles. For newer or less-established issuers, the work of becoming a recognized market presence is a multi-year investment that pays returns through tighter spreads, longer maturities available, and more resilient market access during stress. For sovereigns with established market presence, that presence is an asset that can erode quickly — through idiosyncratic policy actions, debt events, or extended absences from markets — and protecting it is worth significant institutional attention.

5

Use engagement with rating agencies for what it actually does. Rating engagement does not change borrowing costs directly; it shapes the information environment in which markets price sovereign risk. Governments that engage effectively with rating agencies influence how ratings are set, which in turn shapes investor perceptions — but the influence is indirect, operates through specific channels, and is bounded by fundamentals that engagement does not itself change. Understanding what engagement can and cannot achieve helps policymakers allocate engagement effort productively. Engagement is one tool among several for managing borrowing costs; it is more powerful when combined with direct market communication, commodity risk management, and policy credibility than when pursued as a standalone lever.

6

Support the continental architecture that reduces external vulnerability. Borrowing costs reflect not only ratings but a sovereign's exposure to external liquidity shocks, exchange-rate volatility, and concentrated trade dependence. Initiatives such as the African Monetary Institute (AMI) and the Pan-African Payment and Settlement System (PAPSS) deepen financial integration and cross-border settlement, while the African Continental Free Trade Area (AfCFTA) diversifies export markets and reduces dependence on a narrow range of partners and commodities — making AfCFTA implementation itself a sovereign risk-mitigation strategy. Over time, these initiatives can ease the external pressures that feed into how sovereign risk is priced.

IV ENGAGEMENT WITH CREDIT RATING AGENCIES

Chapters 1 through 6 have examined what engagement with rating agencies is for, how to organize for it, and how it operates at each stage of the rating process. Chapter 7 has examined what ratings actually do once they enter markets.

This section returns to engagement with a specifically Chapter 7 question: what can engagement with rating agencies realistically achieve for borrowing costs? →

The answer is that engagement's effect on borrowing costs is real but likely modest. Engagement operates through a specific causal chain — it influences how ratings are set; ratings shape investor perceptions and constrain mandate-driven capital; investor perceptions contribute to market pricing. Each link in this chain is real, but each link is also bounded by factors engagement does not itself change. The cumulative effect of sustained, effective engagement on borrowing costs is real but bounded: it matters, and it compounds over time, but it is not the dominant lever most policymakers might assume.

What engagement can do →

Effective engagement shapes how analysts read the sovereign's fundamentals — the same underlying performance can produce different analytical conclusions depending on how clearly it is presented, how coherently it is explained, and how consistently it is communicated over time. These analytical differences translate into rating interpretation — not typically into different rating categories for the same fundamentals, but into more accurate placement within a category, better-calibrated outlook assessment, and more responsive rating adjustments as fundamentals change. Over multiple cycles, these effects compound into a rating trajectory that reflects what fundamentals actually

support rather than what fundamentals might look like under conservative judgment applied to incomplete information. This more accurate assessment is the actual channel through which engagement influences borrowing costs.

What engagement cannot do →

Engagement does not override fundamentals. A sovereign with weak debt dynamics, unstable macroeconomic policy, or deteriorating institutional conditions cannot engage its way to ratings or costs inconsistent with those conditions. Engagement also does not control the regime dynamics Section II identified — investor base concentration, commodity sensitivity, and market access histories shape pricing in ways that rating engagement alone does not address. And engagement does not determine how rating-based investor mandates operate during stress periods, when procyclical forces can dominate country-specific engagement quality. Engagement's leverage on borrowing costs operates within these structural boundaries, not against them.

What this implies for African policymakers →

Rating engagement is worth doing seriously — the cumulative effect on how sovereigns are assessed, and through that on borrowing costs, is real and can be shaped. But it is one tool among several. Managing commodity exposure, maintaining market access through consistent issuance patterns, communicating directly with investors, investing in data quality, and building policy credibility all shape borrowing costs through channels that engagement with rating agencies does not fully reach. Treating rating engagement as the primary lever for managing borrowing costs may not produce returns proportional to the effort invested; integrating it into a broader toolkit that also includes market communication, commodity risk management, data infrastructure, and policy credibility helps build borrowing-cost resilience that no single lever would produce alone.

This broader toolkit sits within an even wider financing ecosystem that African policymakers are already navigating. Sovereign credit ratings are one element within a set of interlocking frameworks — Integrated National Financing Frameworks (INFFs), domestic resource mobilization strategies, investment promotion environments, and the development finance architecture through which multilateral and bilateral partners allocate concessional and semi-concessional resources. Rating signals interact with each of these: a stronger rating can expand the financing options available within an INFF; a well-structured INFF can reduce the fiscal vulnerability that rating methodologies penalize; domestic resource mobilization that broadens the revenue base directly addresses the fiscal dimensions rating committees weigh. Policymakers who situate ratings engagement within this broader financing architecture — rather than treating it as a standalone activity — are better positioned to capture the returns from engagement across the full spectrum of financing relationships it touches. The objective is not a better rating in isolation, but a stronger financing position across the full architecture of sovereign resource mobilization.

This framing provides a realistic foundation for sustained engagement effort, neither overstating what engagement can achieve nor understating its cumulative value over time. Chapter 8 examines where this framing sits within the broader evolution of the ratings ecosystem — including the question of whether alternative rating institutions could reshape how the information environment around African sovereigns operates.

Chapter 8
African Credit Rating Institutions and the Future of the System

Chapter 8 at a Glance

Core message

The choice facing African policymakers on rating institutions is not binary — engage the established global agencies or support new African alternatives. The actual ecosystem is more varied, with existing regional institutions already operating and continental-scale proposals still developing. Sustainable rating capacity builds where analytical rigor, institutional independence, and regulatory recognition align; understanding what each type of institution can and cannot do helps allocate engagement effort productively across both bilateral and ecosystem levels.

Key takeaways

Engage the full ratings ecosystem strategically — established global agencies remain essential for Eurobond market access, while regional institutions add value in corporate, municipal, and subsovereign segments where their recognition and contextual understanding align.

Support regional rating capacity where target audience and regulatory recognition align, distinguishing the achievable work of building domestic and regional capacity from the structurally harder work of building global-ambition sovereign rating institutions.

Separate methodology reform from sovereign rating engagement — raising methodology critique within analyst-level discussions tends to compromise both, producing neither methodology change nor effective current engagement.

What to avoid: Do not frame the choice as binary — engaging established global agencies and supporting African rating capacity development are complementary rather than competing priorities, and treating them as alternatives leaves consequential engagement capacity unused.

Chapter 7 concluded by posing a question about whether alternative rating institutions could reshape the information environment around African sovereigns. This chapter takes up that question directly, examining the prospects, limits, and strategic implications of how the ratings ecosystem is evolving — and what that evolution means for African policymakers engaging the system today.

Discussions about African rating institutions often frame the choice as binary: engage the established global agencies, or support the development of new African alternatives. The actual landscape is more varied and operationally more interesting. African and developing-country rating institutions already exist with accumulated experience — GCR Ratings operates across the continent, Bloomfield Investment Corporation covers francophone Africa, West Africa Rating Agency (WARA) serves the WAEMU zone, and regional peers like CariCRIS in the Caribbean and domestic agencies in India, China, and elsewhere offer lessons about what African-led rating capacity can and cannot accomplish within globally integrated capital markets (Kotecha and Martin 2026, ACRI working paper). Meanwhile, proposals for new continent-scale institutions — including the Africa Credit Rating Agency (AfCRA) — continue to develop, each facing similar questions about credibility, recognition, and sustained market relevance.

Two frames shape how to think about these developments →

The first is the credibility-representation trade-off: locally grounded institutions may offer better contextual understanding, but their market influence depends on whether investors and regulators recognize their assessments as independent, comparable, and analytically rigorous over time. The second is the practical orientation that has shaped this handbook throughout: while broader conversations

about ratings system reform continue, the immediate practical question for African policymakers is how to navigate the ratings ecosystem — existing and emerging institutions together — in ways that serve their governments' current financing needs and long-term institutional development.

This chapter examines what this means in practice. Section I identifies the specific challenges facing African rating institutions and the misreadings that sometimes complicate policy discussions about them. Section II situates these challenges within the global rating ecosystem's structural features and the specifically African development context. Section III offers practical guidance for African policymakers navigating a ratings ecosystem that includes both established global agencies and emerging African alternatives. Section IV returns to engagement, examining what the ecosystem's evolution implies for how policymakers should engage rating institutions today.



I WHAT IS THE **PROBLEM?**

Policy discussions about African rating institutions often rest on three common framings, each of which complicates clear analysis of what African-owned rating capacity can and cannot do.

The first framing treats the choice as binary →

— engage the established global rating agencies, or support the development of new African alternatives. The actual landscape is more varied. African and developing-country rating institutions already exist with accumulated experience across different market segments: GCR Ratings has operated across sub-Saharan Africa for decades and was acquired by Moody's in 2022, reflecting one path of African-led rating capacity; Bloomfield Investment Corporation covers francophone markets; West Africa Rating Agency serves the WAEMU zone; regional peers in other developing-country contexts offer comparative lessons (Kotecha and Martin 2026, ACRI working paper). Meanwhile, continental-scale proposals — including the Africa Credit Rating Agency — continue to develop. Policy discussions framed as "new African agencies versus the Big Three" miss the institutions already operating in the ecosystem and the lessons their experience provides.

The second framing treats credibility as a first-mover disadvantage specific to African institutions →

New rating institutions face significant barriers to entry, but those barriers are structural features of how credit rating markets operate globally — not specifically African obstacles. Investors rely on ratings that are widely recognized, comparable across borders, and embedded in regulatory frameworks and investment mandates. This creates accumulated reputational capital for established agencies that any new entrant must build from scratch. Scope Ratings in Europe, JCR Japan Credit Rating Agency, and CRISIL in India have all faced similar dynamics despite operating in markets with significant institutional capacity. The specifically African dimension of the challenge is not that the barriers exist — they exist everywhere — but that African rating institutions must build credibility in markets where African sovereign risk itself is still being actively assessed, which adds an additional layer of institutional work to what is already a demanding trajectory.

The third framing conflates different types of rating institutions serving different purposes →

Domestic rating agencies primarily serve local corporate, municipal, and subsovereign markets, where their understanding of domestic conditions is genuinely advantageous and regulatory recognition comes through national frameworks. Regional rating agencies serve regional integration needs — rating debt issued within a currency zone or economic community, where cross-border comparability within the region matters more than global comparability. Institutions with global-ambition

mandates — rating sovereigns for international investors — face a fundamentally different set of challenges, requiring recognition by globally dispersed investors and integration into internationally-applied regulatory frameworks. Policy discussions sometimes treat these as undifferentiated, conflating the relatively achievable work of building domestic rating capacity with the much harder work of building institutions that can rate African sovereigns for global investors on equal footing with established agencies.

These three framings compound →

Treating the choice as binary, treating credibility barriers as an African-specific problem, and conflating institution types tends to produce policy discussions that miss the operational landscape — and overlooks the most important analytical question: what specific roles can African rating institutions play within the ecosystem to build analytical capacity, improve sovereign risk assessment quality, and complement rather than compete with engagement of the existing global agencies?

The Credibility–Representation Trade-Off

Proposals for African or regional credit rating agencies are often motivated by concerns about representation and contextual understanding. Locally grounded institutions may be better positioned to interpret regional economic structures, institutional environments, and development trajectories.

But credibility in global capital markets depends on a different set of attributes:



Independence from political and commercial influence



Consistency of methodology applied over time and across countries



Investor recognition of ratings as reliable signals



Regulatory integration within financial frameworks and investment mandates

This creates a fundamental tension: efforts to increase regional representation must also meet the expectations of global investors and regulators. New institutions must demonstrate not only technical capacity, but also institutional independence and sustained analytical performance over multiple rating cycles and market conditions.

For African policymakers, this implies a dual approach — strengthening Africa's role in the ratings ecosystem through both local analytical capacity development and sustained engagement with the existing global system. Neither substitutes for the other.

II WHAT IS THE **DEVELOPMENT CONTEXT?**

The framings identified in Section I compound because African rating institutions operate within a global rating ecosystem whose structural features shape what is achievable and on what timeline. Understanding these features is essential for realistic assessment of where African rating capacity can add meaningful value.

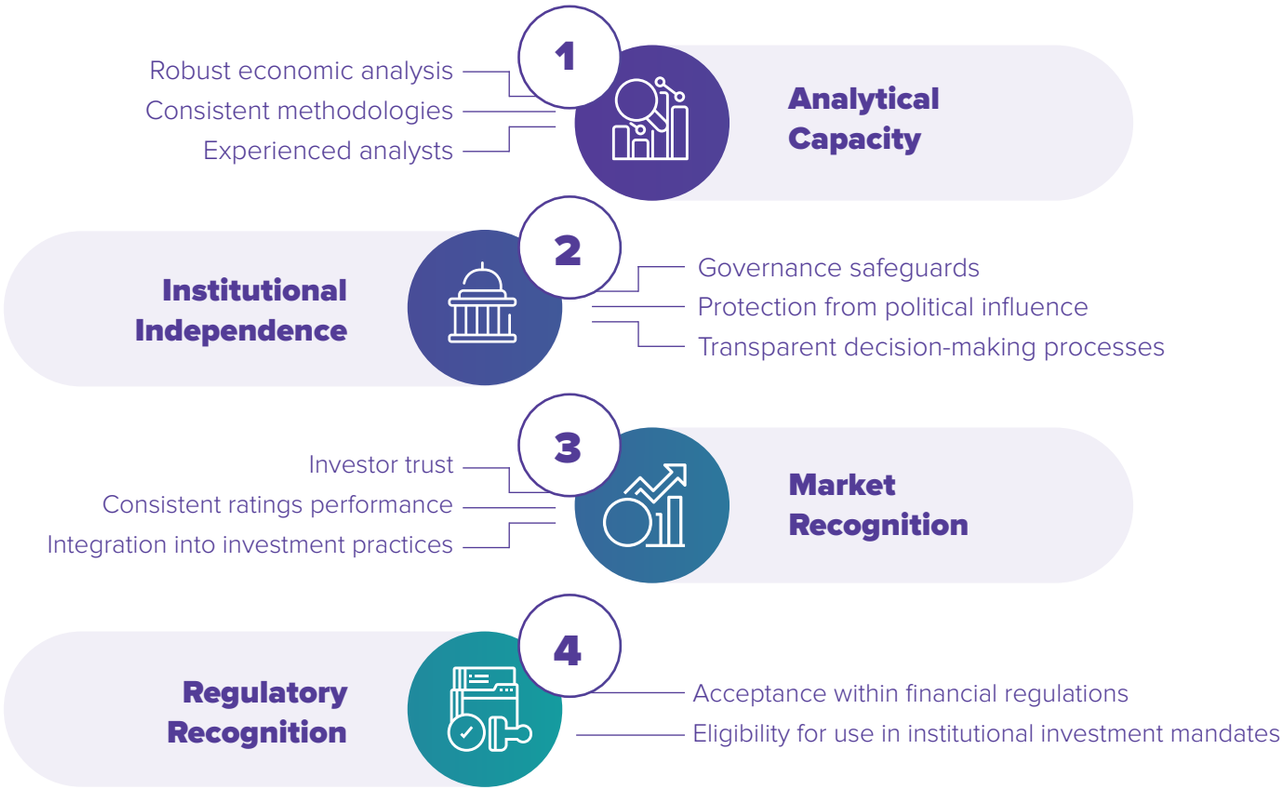
The rating ecosystem is structurally shaped by how ratings get used, not only by how they get produced. Investor mandates, central bank collateral frameworks, regulatory capital requirements, and investment guidelines reference a specific set of rating institutions recognized by regulators. In the United States, this recognition flows through the Nationally Recognized Statistical Rating Organization (NRSRO) designation; other jurisdictions maintain parallel frameworks. The institutions currently embedded in these structures benefit from self-reinforcing dynamics. Regulators reference them, so investors must use them. Investors use them, so issuers must obtain them. And because issuers obtain them, their ratings become the comparative baseline against which alternatives are assessed. This is the core structural challenge new rating institutions face, and it operates largely independently of analytical quality. Scope Ratings in Europe has produced methodologically sophisticated sovereign ratings for over a decade without displacing the Big Three in institutional portfolios, because the regulatory and mandate infrastructure that determines which ratings actually get used has not shifted to include them at scale.

Comparative experience from African and developing-country rating institutions provides useful reference points for what is achievable →

Kotecha and Martin's analysis of the comparative landscape documents several patterns. CariCRIS, the regional rating agency serving the Caribbean, has operated sustainably by focusing on a specific market segment — corporate, municipal, and sovereign debt issued within the Caribbean region — where its contextual understanding is advantageous and where regional rather than global investor bases are the primary audience. GCR Ratings built substantial coverage across sub-Saharan Africa over decades and was acquired by Moody's in 2022, a trajectory that integrated African rating capacity into a global agency rather than sustaining it as an independent alternative. Bloomfield Investment Corporation and WARA serve francophone West Africa in similarly segmented roles, with recognition flowing through regional and national regulatory frameworks rather than global ones. In each case, sustainable rating capacity has developed where the target audience, regulatory recognition, and institutional role align — typically at regional or national scale rather than at continental or global scale (Kotecha and Martin 2026, ACRI working paper). The value of these institutions is not limited to their role as alternatives or complements to the global agencies in the sovereign space. By rating corporate issuers, sub-sovereign entities, and financial institutions in domestic and regional markets, African rating agencies build analytical capacity, deepen local capital markets, and give governments practical familiarity with how rating processes operate — benefits that accrue even to countries that are years away from seeking a sovereign rating from a global agency.

The Building Credibility in Credit Rating Markets infographic illustrates the three mutually-reinforcing foundations of credibility in credit rating markets: analytical rigor, institutional independence, and regulatory recognition. Analytical rigor provides the methodological basis for consistent assessments over time. Institutional independence ensures that ratings decisions are insulated from political and commercial pressures. Regulatory recognition integrates ratings into investor mandates and financial frameworks, determining which ratings actually get used in practice. These elements reinforce each other — credibility develops where all three are present and sustained over multiple rating cycles, and erodes quickly when any one is compromised.

Figure 7 Building Credibility in Credit Rating Markets



Structural features of global financial architecture also shape how African sovereign risk is assessed within the existing system. Broader analyses of how sovereign risk gets priced internationally highlight that perceptions of bias or misrepresentation are not only functions of methodology — they reflect deeper features of how information about different regions circulates, how investor bases are composed, and how regulatory frameworks privilege certain rating institutions over others (Marcelle 2026, ACRI working paper). These structural features are largely beyond the reach of any single rating institution, whether African or established, to change on its own. New rating institutions can contribute additional analytical perspectives and may expand the information environment in which sovereign risk is assessed, but displacing structural features of global financial architecture requires coordinated action across multiple institutional fronts — rating institutions, regulators, investor networks, and international financial institutions — rather than a single institutional solution.

These three features produce a clearer picture of what African rating institutions can realistically contribute. Building regional and national rating capacity where regulatory recognition and investor audience align — corporate ratings, municipal and sub-national debt, regional markets — is demanding but achievable, and several institutions have demonstrated this. Building global-ambition sovereign rating capacity that competes with the established agencies at scale faces structural barriers that require decades of institutional work and regulatory change alongside analytical quality. And building reform momentum that addresses the structural features of the global financial architecture requires coordinated action that extends well beyond the rating institutions themselves. For African policymakers, understanding these three types of work — and what each can and cannot accomplish — helps allocate engagement effort productively, supporting the achievable work of regional rating capacity development while engaging the existing global system realistically for current sovereign rating needs.

Comparative Experience from African and Regional Rating Institutions

The experience of existing African and regional rating institutions offers practical lessons for policymakers:

GCR Ratings (Global Credit Ratings). Founded in South Africa in the mid-1990s. Built substantial sub-Saharan African coverage over decades — today rating about 1,000 issuers, roughly 40% in South Africa, 20% in Nigeria, and 10% in West Africa. Registered across multiple jurisdictions including South Africa, Nigeria, Kenya, Mauritius, and Senegal. Acquired by Moody's in 2022 (full ownership in 2024), integrating African rating capacity into a global agency rather than sustaining an independent alternative.

Bloomfield Investment Corporation. Founded 2007 in Abidjan, Côte d'Ivoire — the first rating agency in francophone West Africa. Now operates across the region with offices in Abidjan, Douala, and Kigali. Accredited by the WAEMU regional securities regulator and by Rwanda's capital markets authority. Focus on corporate and sub-sovereign markets where contextual understanding is advantageous.

WARA (West Africa Rating Agency). Launched 2012 in Dakar, Senegal as the first dedicated credit rating agency for the WAEMU zone. Operated independently for a decade before acquisition by GCR in 2022. Its decade of independent operation established analytical credibility through ratings on leading regional banks and provided lessons about what regional rating capacity can accomplish within WAEMU's regulatory framework.

ARC Ratings. A different model — headquartered in Lisbon, with origins in Companhia Portuguesa de Rating (founded 1988) and rebranded in 2013 to bring together local agencies from Portugal, India, South Africa, Malaysia, and Brazil as an explicit South-South alternative to U.S.-based agencies. ESMA and FCA registered.

CariCRIS (Caribbean Information and Credit Rating Services). Operates sustainably in a regional segment — rating corporate, municipal, and sovereign debt within the Caribbean, serving regional investor bases. Recognition flows through regional regulatory framework.

Scope Ratings (Europe, comparative case). Produces methodologically sophisticated sovereign ratings but has not displaced established agencies in institutional portfolios, illustrating that analytical quality alone is not sufficient where regulatory recognition and mandate infrastructure favor established institutions.



The pattern: sustainable rating capacity develops where target audience, regulatory recognition, and institutional role align — typically at regional or national scale rather than at continental or global scale.

Source: Kotecha and Martin 2026, ACRI working paper

The Africa Credit Rating Agency (AfCRA): Status and Prospects

The African Union has been developing the Africa Credit Rating Agency (AfCRA) as a continental-scale sovereign rating institution, with an initial mandate to provide independent ratings for African sovereigns as an alternative to — or complement to — the established global agencies. AfCRA represents the most ambitious institutional proposal in the current African ratings ecosystem conversation, and it warrants specific attention precisely because its ambitions are larger than those of the regional institutions examined above (Kotecha and Martin 2026, ACRI working paper).

AfCRA's developmental trajectory has been gradual. The African Union has worked to establish the governance framework, capitalization structure, and technical foundations the institution will require, with the project moving through successive phases of design and institutional preparation. As of the time of writing, AfCRA had not yet published its first rating, and the timeline for initial rating issuance remains subject to the completion of governance and technical preparation work. The pace of development reflects the genuine difficulty of the institutional task, not a lack of political commitment from AU member states.

The critical assessment question for AfCRA is not whether it should exist — the political and institutional rationale for African-led continental rating capacity is well-established — but whether it can navigate the credibility-representation trade-off that has shaped the trajectory of every comparable initiative globally. Three questions will determine AfCRA's practical impact:

First, governance and independence →

will AfCRA's governance framework insulate rating decisions from political pressure by member states? The institutional credibility of any rating agency depends critically on demonstrated independence — investors and regulators must be confident that ratings reflect analytical judgment rather than political accommodation. Establishing this independence in an institution funded and governed by the same sovereigns it rates is the central structural challenge AfCRA faces, and one that comparable regional initiatives have addressed with varying degrees of success (Kotecha and Martin 2026, ACRI working paper).

Second, methodology and comparability →

will AfCRA's rating methodology be sufficiently transparent, rigorous, and globally comparable to attract recognition from international investors and regulatory frameworks? A continental-scale sovereign rating institution that produces ratings investors cannot meaningfully compare to established agency assessments will find its ratings referenced primarily within African regulatory frameworks initially.

Third, market recognition and regulatory integration →

will AfCRA's ratings be recognized and referenced in the investor mandates, regulatory frameworks, and financing agreements that determine which ratings actually shape borrowing costs? This is where the structural challenge identified throughout this section is most acute for AfCRA — building recognition within the global frameworks that determine rating usage is a decades-long institutional project requiring sustained political and financial support through multiple rating cycles.

For African policymakers, the practical implication is to engage AfCRA's development with realistic expectations calibrated to these institutional realities. Supporting AfCRA's development is consistent with the broader investment in African rating ecosystem capacity this chapter recommends. The most productive near-term scenario is one in which AfCRA develops credible ratings within African regulatory frameworks, builds a track record across multiple sovereigns and cycles, and gradually earns recognition in international contexts — a trajectory measured in decades, not years (Kotecha and Martin 2026, ACRI working paper).

III PRACTICAL TIPS FOR AFRICAN POLICYMAKERS

Chapter 8 has examined the ratings ecosystem's structural features, the comparative experience of African and developing-country rating institutions, and what this implies for what African rating capacity can realistically contribute. Seven practical principles follow for African policymakers navigating this ecosystem.

1

Engage both existing and emerging rating institutions strategically. The choice is not binary. Established global agencies remain essential for sovereign Eurobond market access and will continue to be so for the foreseeable future — engaging them effectively is an immediate practical requirement, not an interim compromise. At the same time, regional African rating institutions play specific roles in corporate, municipal, and subsovereign segments where their recognition and contextual understanding align with the relevant investor audience. Engaging the full ecosystem based on what each institution can actually do for a country's specific rating needs — rather than on ideological framing about which institutions should exist — is the more productive orientation.

2

Support regional rating capacity where target audience and regulatory recognition align. Regional and domestic rating institutions add most value where their strengths match real market needs — domestic corporate bond market development, municipal and subsovereign debt issuance, regional integration frameworks where cross-border comparability within the region matters. Building rating capacity in these segments is achievable and demonstrably productive; attempting to build global-ambition sovereign rating capacity in the same timeline and with the same resources faces structural barriers that regional efforts do not. Understanding the distinction between what is achievable at regional scale and what faces structural barriers at global scale helps allocate support toward the rating capacity that can actually serve a country's financial development needs.

3

Engage ratings ecosystem reform on appropriate timescales. Reform conversations about the global ratings ecosystem — addressing methodology, representation, regulatory recognition — are legitimate and worth participating in. But institutional change in this space moves at decadal timescales, not electoral cycles. Reform advocacy aligned with institutional realities tends to produce more durable change than advocacy premised on quick displacement of established agencies. Participating constructively in international financial institution dialogues, G20 sovereign debt discussions, methodology review processes, and ACRI-style convenings contributes to ecosystem evolution over time; calibrating expectations to these institutional timescales, rather than to near-term transformation, is what sustains productive engagement across them.

4

Separate methodology reform from sovereign rating engagement. Concerns about how rating methodologies assess African economies are legitimate, but they operate through different channels than day-to-day sovereign rating engagement. Methodology reform engages rating agencies at the research and technical level, international financial institutions through policy dialogue, and academic and think tank networks through analytical work. Sovereign rating engagement operates through analyst relationships, information

quality, and communication discipline. Conflating the two — raising methodology critique within analyst-level sovereign rating discussions — tends to compromise both, producing neither methodology change nor effective current rating engagement.

5

Build domestic analytical capacity as its own investment. Whatever direction the external ratings ecosystem takes, strengthening domestic analytical capacity produces returns independent of which external rating institutions exist. Domestic analytical capacity improves engagement with any rating agency, supports effective direct communication with investors, informs policy credibility, and over time can seed regional rating capacity where conditions support it. Debt management offices, central bank research units, finance ministry analytical departments, and statistical agencies all benefit from sustained investment in credit analysis, economic forecasting, and methodology literacy — benefits that accrue regardless of the global ratings ecosystem's trajectory.

6

Strengthen the regulatory frameworks that govern how ratings are recognized and used. Much of what determines a rating's influence is regulatory: which ratings regulators accept for capital adequacy, collateral eligibility, and investment mandates. African governments have more agency over this dimension than is often recognized. Building credible national frameworks for recognizing and supervising rating agencies — and coordinating these at the regional and continental level — strengthens the foundation on which both domestic rating capacity and initiatives like AfCRA depend. Recognition frameworks that are transparent, well-supervised, and regionally interoperable make African rating institutions more viable and give African regulators a more active role in how sovereign and corporate risk is assessed within their own markets (Kotecha and Martin 2026, ACRI working paper). This is long-horizon institutional work, but it is foundational: alternative rating institutions cannot achieve recognition without the regulatory architecture that confers it.

7

Improve the investor information environment. Sovereign risk assessment is shaped not only by a country's fundamentals but by how accessible and credible information about those fundamentals is to investors. Reducing information asymmetries — through clear, timely disclosure of investment opportunities, infrastructure pipelines, and reform progress — can improve investor confidence and support more accurate assessment. Continental initiatives that aggregate and standardize this information, such as the African Virtual Investment Platform (AVIP), can contribute to this effort and are worth engaging as they develop.



IV ENGAGEMENT WITH CREDIT RATING AGENCIES

Chapters 1 through 7 have examined engagement with individual rating agencies — what engagement is for, how to organize for it, how to navigate the process, how to prepare, how to manage the during-and-after phase, how methodology shapes what engagement can achieve, and what engagement can realistically deliver for borrowing costs. Chapter 8's contribution is to extend the engagement frame beyond bilateral agency relationships to engagement with the ratings ecosystem itself — the broader field of rating institutions, regulatory frameworks, investor networks, and international financial institution dialogues within which sovereign credit risk is assessed and priced.

Ecosystem-level engagement operates through different channels than bilateral rating-agency engagement and serves different purposes. Bilateral engagement focuses on how a specific sovereign is assessed by a specific agency in a specific cycle. Ecosystem engagement shapes the broader conditions under which all such assessments are made. Both matter; they require different approaches; and effective policymakers engage both simultaneously rather than treating them as substitutes for each other.

Three dimensions of ecosystem engagement are particularly consequential →

The first is participation in methodology and reform dialogues through appropriate channels — international financial institution convenings like those ACRI hosts, G20 sovereign debt discussions, academic and think tank networks, technical dialogues with rating agencies on methodology review processes. These channels operate on institutional timescales but shape the analytical frameworks within which future rating cycles will be conducted. The second is support for regional and national rating capacity where it adds value — not as an alternative to engaging established global agencies but as complementary infrastructure that builds analytical capacity, serves specific market segments, and over time may expand the rating ecosystem's analytical diversity. The third is investment in domestic analytical capacity and data infrastructure — the foundation that strengthens engagement across every dimension of the ecosystem, from bilateral rating agency engagement to methodology reform participation to regional rating institution development.

These dimensions of ecosystem engagement do not replace the bilateral rating agency engagement the prior chapters have examined — they complement it. A government engaged effectively at the bilateral level but absent from ecosystem-level conversations allocates its engagement capacity incompletely; a government engaged at the ecosystem level but not at the bilateral level leaves the immediate, tractable work of sovereign rating engagement undone. Both tiers of engagement, sustained over time, build the foundation for African participation in the ratings system that this handbook has been oriented toward throughout.

For African policymakers, the practical synthesis is that ecosystem engagement is a long-term investment that pays returns gradually, while bilateral engagement delivers more immediate operational value. The balance of effort between the two depends on country context, institutional capacity, and the specific rating challenges a government faces in any given period. But engaging only one dimension, whichever one, leaves consequential engagement capacity unused — capacity that African governments can bring to bear on how sovereign risk is assessed and priced.

Closing Perspective

The eight chapters of this handbook have offered African policymakers a set of analytical tools for engaging sovereign credit ratings realistically: understanding how the process works, how methodologies apply structured judgment under uncertainty, how ratings translate into borrowing costs through specific channels with meaningful variation, and how the broader ratings ecosystem is evolving. The purpose throughout has been practical — to help governments navigate the system as it exists, rather than to advocate for how it might one day operate differently.

For African policymakers, the path forward involves two complementary priorities operating on different timescales →

The first is strengthening engagement with the existing ratings system — through the institutional coordination, methodology literacy, preparation discipline, and communication quality the handbook has examined throughout. This is the immediate, tractable work that shapes how African sovereigns are assessed in the current cycle and the next. The second is contributing to the gradual evolution of the ratings ecosystem — through methodology reform dialogues, regional rating capacity development, and sustained participation in international financial institution conversations about how sovereign risk is assessed. This is long-horizon institutional work that shapes the conditions under which future rating cycles will be conducted. Neither priority substitutes for the other; both require investment; both reward patience.

The UNDP Africa Credit Ratings Initiative (ACRI) exists to support work across both tracks. Through convenings that connect African policymakers with rating agencies, comparative research on African sovereign risk assessment, policy dialogue on ratings methodology, and capacity-building engagement with finance ministries and debt management offices, ACRI aims to strengthen the analytical and institutional foundations of African participation in the ratings system — today, and as the system evolves.

Several areas warrant particular attention going forward:



Institutional capacity building for sustained ratings engagement across political cycles — including designated ratings functions with sufficient seniority and staffing continuity, documentation systems that preserve institutional knowledge through government transitions, and the cognitive shift at leadership level that treats the sovereign rating as a national asset to be actively managed rather than an externally imposed assessment to be periodically accommodated (Benard 2026, ACRI working paper).



Technical dialogue on methodology and how it evaluates African economies — covering how qualitative judgment operates within structured frameworks, how governance indicators are weighted and interpreted, how post-restructuring track records are assessed relative to pre-default history, and where African economic structures and development trajectories are systematically underweighted in current analytical frameworks (Swann 2026, ACRI working paper; Cash 2026, AfriCatalyst).



Narrative and perception ecosystem reform alongside methodology engagement — addressing the structural, cognitive, and institutional barriers that shape how African sovereign risk is priced by investors, benchmarks, and market conventions independently of what rating methodologies themselves assess, and building the analytical case that the cost of capital for African sovereigns reflects perception gaps as well as genuine risk (Marcelle 2026, ACRI working paper).



Peer learning among policymakers on what works in practice and why — including structured opportunities for finance ministries and debt management offices to share engagement experience, preparation approaches, and communication strategies across countries facing similar rating dynamics (N'Sondé 2026, ACRI working paper; Kotecha and Martin 2026, ACRI working paper).



Data infrastructure and transparency that strengthens engagement with investors and analysts alike — including public debt data systems that produce timely and internally consistent reporting across government departments, statistical capacity that reduces the information gaps methodology fills with conservative judgment, and data presentation disciplines that allow analysts to assess fiscal and external positions with confidence rather than skepticism (Benard 2026, ACRI working paper; Swann 2026, ACRI working paper).



Domestic capital market development as a sovereign ratings strategy — reducing dependence on external currency refinancing, broadening the investor base beyond mandate-constrained funds, and building the local institutional investor capacity that compresses borrowing costs through channels that external ratings engagement alone does not reach (de Saint-Marcq 2026, ACRI working paper; Dalrymple 2026, ACRI working paper).

The handbook has also surfaced a set of analytical questions that deserve fuller development than a practical navigation guide can provide. Three stand out as priorities for ACRI's research programme going forward.

The first is the ability-to-repay versus willingness-to-repay distinction as applied to sovereign ratings →

a framework foundational to credit bureau practice that has not been systematically applied to sovereign assessment, and whose application raises important questions about how methodology weights historical debt events against subsequent demonstrated payment behaviour. African sovereigns whose ratings carry the legacy of HIPC-era restructurings or externally conditioned programmes — but whose post-restructuring payment records are strong — represent a concrete case where this distinction has direct analytical and policy relevance.

The second is the demand-side architecture of the ratings ecosystem →

how ratings are consumed by investors operating under mandate constraints, by development finance institutions structuring blended finance, and by commercial banks calibrating country limits shapes the actual impact of ratings on African sovereigns as much as the supply-side engagement this handbook has examined. A companion operational guide to the reform track would help address a gap this handbook acknowledges but does not fully fill. That guide would cover how to engage methodology review processes productively, how to participate constructively in AfCRA's development, and how to contribute to international financial architecture conversations at FfD, G20, and AU levels.

The third is localisation, industrialisation, and domestic capital market development as forward-looking ratings arguments →

framing structural economic transformation not only as development policy but as a ratings investment with measurable returns in how methodology reads a sovereign's risk profile over time. Each of these represents a substantive analytical contribution that the ACRI working paper series is well-positioned to develop.

As African countries deepen their integration into global capital markets, engaging sovereign credit ratings strategically remains essential for effective economic governance. The immediate work is to navigate the current system well; the longer-horizon work is to contribute to its evolution. Pursued together and sustained over time, both types of work build the foundation for African participation in sovereign risk assessment on more informed and confident terms.



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